

AMBEON CAPITAL PLC

FINANCIAL STATEMENTS

31 MARCH 2018

APAG/AKG/GDG/MT/JJ

**INDEPENDENT AUDITORS' REPORT
TO THE SHAREHOLDERS OF AMBEON CAPITAL PLC**

Report on the audit of the consolidated Financial Statements

Opinion

We have audited the Financial Statements of Ambeon Capital PLC (the "Company"), and the consolidated Financial Statements of the Company and its subsidiaries (the "Group"), which comprise the statement of financial position as at 31 March 2018, and the statement of profit or loss, statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the Financial Statements, including a summary of significant accounting policies.

In our opinion, the accompanying Financial Statements of the Company and Group give a true and fair view of the financial position of the Company and Group as at 31 March 2018, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuS). Our responsibilities under those standards are further described in the auditor's responsibilities for the audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Financial Statements of the current period. These matters were addressed in the context of our audit of the Financial Statements as a whole, and in forming the auditor's opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the Financial Statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the Financial Statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying Financial Statements.

(Contd...2/)

Key audit matter	How our audit addressed the key audit matter
Annual impairment of Goodwill and Intangible assets with infinite useful life	
Intangible assets include Goodwill on consolidation and Brands with infinite useful life. Goodwill and intangible assets are subject to an annual impairment test using significant estimates as disclosed in Note 14 to the Financial Statements. Therefore, we have determined this to be a Key audit matter.	We performed the following procedures amongst others; • We have involved our internal specialists to assist us, in assessing the appropriateness of the models and reasonableness of estimates, used by the management. • We also assessed the adequacy of the related disclosures given in Note 14 to the Financial Statements.
Valuation of land and building	
As at 31 March 2018, land and buildings carried at fair value amounted to Rs. 5.2 Bn classified as Property, Plant and Equipment and Investment Property. The fair value of such property was determined by external valuers engaged by the Group. The valuation of land and building was significant to our audit due to the use of significant estimates such as per perch price and value per square foot disclosed in notes 12 and 16 to the Financial Statements.	Our audit procedures focused on the valuations performed by external valuers engaged by the Company, and included the following; • Assessed the competency, capability and objectivity of the external valuers engaged by the Company • Read the professional valuer's report and understood the key estimates made and the approach taken by the valuers in determining the valuation of each property • Engaged our internal experts to assess the reasonableness of the valuation technique, per perch price and value per square foot • We have also assessed the adequacy of the disclosures made in note 12 and 16 to the Financial Statements relating to the valuation technique and estimates used by the professional valuers.

Other information included in the Group's 2018 Annual Report

Other information consists of the information included in the Annual Report, other than the Financial Statements and our auditor's report thereon. The Management is responsible for the other information. Other information is expected to be made available to us after the date of this auditor's report.

Our opinion on the Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Financial Statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the Financial Statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

(Contd...3/)

Responsibilities of management and those charged with governance

Management is responsible for the preparation of Financial Statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of Financial Statements that are free from material misstatement, whether due to fraud or error.

In preparing the Financial Statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process

Auditor's responsibilities for the audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Financial Statements

As part of an audit in accordance with Sri Lanka Auditing Standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- ▶ Identify and assess the risks of material misstatement of the Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- ▶ Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company and Group.
- ▶ Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- ▶ Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- ▶ Evaluate the overall presentation, structure and content of the Financial Statements, including the disclosures, and whether the Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

(Contd...4/)



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- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated Financial Statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

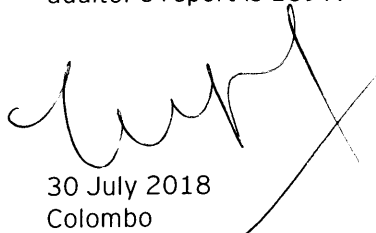
We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1697.



30 July 2018
Colombo

STATEMENT OF PROFIT OR LOSS

Year ended 31 March 2018

		Group		Company	
		2018	2017	2018	2017
Continuing Operations	Notes	LKR	LKR	LKR	LKR
Revenue	5	12,588,656,155	10,967,821,495	280,869,653	167,721,654
Direct Cost	6	(10,087,751,071)	(9,112,770,865)	-	-
Gross Profit		2,500,905,084	1,855,050,630	280,869,653	167,721,654
Investment and Other Income	7	397,008,438	276,089,174	14,938,972	47,211,907
Selling and Distribution Expenses		(448,865,633)	(372,039,375)	-	-
Administrative Expenses		(1,793,441,082)	(1,167,501,125)	(142,431,390)	(59,586,038)
Change in Fair Value of Financial Assets Held for Trading		222,469,300	(82,690,557)	-	426,270
Impairment of Investment Property	16	-	(58,399,713)	-	-
Changes in Fair Value of Investment Property	16	237,834,192	365,400,262	4,000,000	2,000,000
Reversal of Impairment of investment in subsidiary	17.1.2.1	-	-	218,707,472	-
Gain From Disposal of subsidiaries	17.1.4	-	-	609,911,667	-
Finance Cost	8	(829,580,187)	(713,807,939)	(572,728,205)	(535,700,739)
Profit /(Loss) Before Income Tax from Continuing Operations	9	286,330,112	102,101,357	413,268,169	(377,926,946)
Income Tax Expense	10	86,096,598	(125,169,177)	17,324,614	(141,765)
Profit/(Loss) for the Year from Continuing Operations		372,426,710	(23,067,820)	430,592,783	(378,068,711)
Discontinued Operations					
Profit/(Loss) after tax for the year from discontinued operations	4	9,870,089	144,976,300	-	-
Profit/(Loss) for the year		382,296,799	121,908,480	430,592,783	(378,068,711)
Profit / (Loss) Attributable to:					
Equity Holders of the Company		151,541,224	(49,742,653)	430,592,783	(378,068,711)
Non - Controlling Interests		230,755,575	171,651,133	-	-
		382,296,799	121,908,480	430,592,783	(378,068,711)
Basic Earnings / (Loss) Per Share	11.1	0.15	(0.05)	0.43	(0.38)
Basic Earnings / (Loss) Per Share from Continuing Operations	11.2	0.14	(0.17)	0.43	(0.38)

The Notes from pages 11 to 69 form an integral part of these Financial Statements.
Figures in bracket indicate deductions



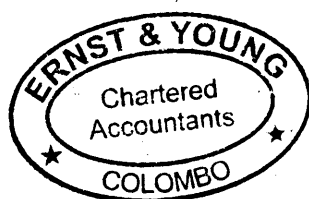
STATEMENT OF OTHER COMPREHENSIVE INCOME

Year ended 31 March 2018

	Group		Company	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR
Profit/ (Loss) for the Year	382,296,799	121,908,480	430,592,783	(378,068,711)
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Defined Benefit Obligations Actuarial Gain / (Loss)	(32,800,240)	22,990,329	163,962	228,088
Tax on Actuarial Gain /(Loss) on Defined Benefit Plans	8,636,253	(6,109,110)	(45,910)	(63,865)
Revaluation Gain of Land and Building	1,068,005,405	93,024,350	-	-
Tax on Revaluation Gain	(519,300,584)	(7,485,531)	-	-
	<u>524,540,834</u>	<u>102,420,038</u>	<u>118,052</u>	<u>164,223</u>
Items that are or may be reclassified to profit or loss				
Currency Translation of Foreign Operation	(40,515)	18,083,393	-	-
Currency Translation of Foreign Operation reserve reclassified to p	-	(18,261,300)	-	-
	<u>(40,515)</u>	<u>(177,907)</u>	<u>-</u>	<u>-</u>
Total Other Comprehensive Income	<u>524,500,319</u>	<u>102,242,131</u>	<u>118,052</u>	<u>164,223</u>
Total Comprehensive Income for the Year	<u>906,797,118</u>	<u>224,150,611</u>	<u>430,710,835</u>	<u>(377,904,488)</u>
Total Comprehensive Income Attributable to:				
Equity Holders of the Company	545,857,053	15,518,575	430,710,836	(377,904,488)
Non - Controlling Interests	360,940,065	208,632,036	-	-
	<u>906,797,118</u>	<u>224,150,611</u>	<u>430,710,836</u>	<u>(377,904,488)</u>

The Notes from pages 11 to 69 form an integral part of these Financial Statements

Figures in bracket indicate deductions.



STATEMENT OF FINANCIAL POSITION

As at 31 March 2018

		Group		Company	
		2018	2017	2018	2017
ASSETS	Notes	LKR	LKR	LKR	LKR
Non-Current Assets					
Property, Plant & Equipment	12	5,474,938,163	4,785,156,824	446,108	697,514
Intangible Assets	14	845,866,849	81,612,830	-	-
Biological Assets	15	48,281,950	45,881,950	-	-
Investment Property	16	1,688,188,153	1,164,600,686	29,000,000	25,000,000
Investment in Subsidiaries	17	-	-	5,149,202,174	4,779,561,060
Other Financial Assets	18	22,451,836	36,166,883	-	-
Deferred Tax Asset	26	274,360,132	71,588,610	18,270,536	991,831
Deposit with Colombo Stock Exchange		2,782,406	2,750,000	-	-
		8,356,869,489	6,187,757,783	5,196,918,818	4,806,250,405
Current Assets					
Inventories	19	3,758,051,548	2,407,814,066	-	-
Other Financial Assets	18	2,409,055,751	1,746,969,988	757,790,604	143,974,190
Trade & Other Receivables	20	4,009,655,688	1,801,538,636	104,765,555	45,845,248
Income Tax Recoverable		16,476,850	32,258,280	-	-
Cash & Cash Equivalents	21	1,999,187,137	815,416,259	372,368	106,750
		12,192,426,974	6,803,997,229	862,928,527	189,926,188
Assets classified as Held for Sale	4	-	945,070,313	-	-
Total Assets		20,549,296,463	13,936,825,325	6,059,847,345	4,996,176,593
EQUITY AND LIABILITIES					
Equity					
Stated Capital	22	1,053,643,405	1,053,643,405	1,053,643,405	1,053,643,405
Foreign Currency Translation Reserve		(435,510)	(394,995)	-	-
Retained Earnings		2,140,513,431	2,016,509,172	1,033,409,288	602,698,453
Amalgamation Reserve	22.1	-	-	258,920,263	-
Revaluation Reserves		856,717,592	445,801,569	-	-
Equity Attributable to Equity Holders of the Company		4,050,438,918	3,515,559,151	2,345,972,956	1,656,341,858
Non Controlling Interests		2,428,238,516	2,069,496,197	-	-
Total Equity		6,478,677,434	5,585,055,348	2,345,972,956	1,656,341,858
Non-Current Liabilities					
Other Financial Liabilities	28	32,935,638	873,146	32,038,552	-
Interest Bearing Loans & Borrowings	23	1,562,021,994	913,471,560	-	-
Retirement Benefit Obligations	24	410,048,970	260,078,371	4,615,058	3,888,054
Deferred Tax Liability	26	620,479,220	239,772,085	-	-
Deferred Income		-	387,783	-	-
		2,625,485,822	1,414,582,945	36,653,610	3,888,054
Current Liabilities					
Trade and Other Payables	27	3,292,344,120	1,648,731,159	31,460,607	4,801,758
Income Tax Payable		177,629,826	52,648,398	-	-
Deferred Income	25	748,150,496	-	-	-
Interest Bearing Loans & Borrowings	23	7,227,008,765	5,232,075,251	3,645,760,172	3,331,144,923
		11,445,133,207	6,933,454,808	3,677,220,779	3,335,946,681
Liabilities Directly Associated with Assets Classified as Held For Sale	4	-	3,732,224	-	-
Total Equity and Liabilities		20,549,296,463	13,936,825,325	6,059,847,345	4,996,176,593

Net Assets Per Share (Rs.)

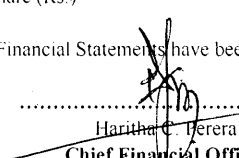
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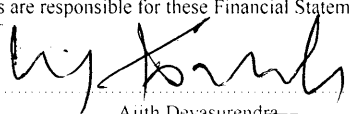
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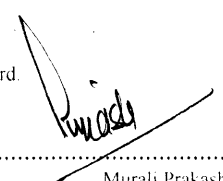
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I certify that the Financial Statements have been prepared in compliance with the requirements of Companies Act No. 07 of 2007

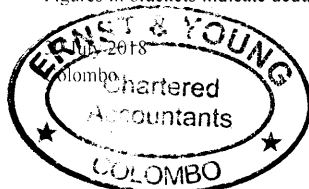

 Haritha C. Perera
 Chief Financial Officer

The Directors are responsible for these Financial Statements. Signed for and on behalf of the Board.


 Ajith Devasurendra
 Deputy Chairman


 Murali Prakash
 Group Managing Director/ Chief Executive Officer

The Notes from pages 11 to 69 form an integral part of these Financial Statements
 Figures in brackets indicate deductions.

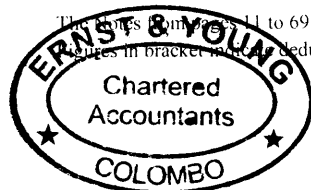


STATEMENT OF CHANGES IN EQUITY

Year ended 31 March 2018

GROUP	Attributable to Equity Holders of the Company						Non Controlling Interests	Total Equity
	Stated Capital	Available for Sale	Revaluation Reserve	Foreign Currency Translation	Retained Earnings	Total		
	LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
As at 31 March 2016	1,053,643,405	-	407,065,147	(6,022,629)	2,218,276,530	3,672,962,453	1,730,158,022	5,403,120,475
Profit / (Loss) for the year	-	-	-	-	(49,742,653)	(49,742,653)	171,651,133	121,908,480
Other Comprehensive Income	-	-	52,722,831	(114,600)	12,652,996	65,261,227	36,980,903	102,242,130
Total Comprehensive Income for the year	-	-	52,722,831	(114,600)	(37,089,657)	15,518,574	208,632,036	224,150,610
Transactions with owners of the Company								
Contributions and Distributions								
Subsidiary Dividend Paid to Minority Share Holders	-	-	-	-	-	-	(33,332,155)	(33,332,155)
Subsidiary Dividend Declared to Minority Share Holders	-	-	-	-	-	-	(14,625,816)	(14,625,816)
Total Contributions and Distributions	-	-	-	-	-	-	(47,957,971)	(47,957,971)
Transfer of Revaluation Reserve Upon Disposal			(13,986,409)		13,986,409	-		
Reclassification of Exchange Reserve				5,742,234	-	5,742,234		5,742,234
Prior Year Adjustment					(5,918,552)	(5,918,552)	5,918,552	-
Changes in ownership interest								
Changes in ownership interest without changes in control	-	-	-	-	(172,745,558)	(172,745,558)	172,745,558	-
Total changes in ownership interest	-	-	(13,986,409)	5,742,234	(164,677,701)	(172,921,876)	178,664,110	5,742,234
Total Transactions with owners of the Company	-	-	(13,986,409)	5,742,234	(164,677,701)	(172,921,876)	130,706,139	(42,215,737)
Balance as at 31 March 2017	1,053,643,405	-	445,801,569	(394,995)	2,016,509,172	3,515,559,151	2,069,496,197	5,585,055,348
Profit / (Loss) for the year	-	-	-	-	151,541,224	151,541,224	230,755,575	382,296,799
Other Comprehensive Income	-	-	410,916,023	(40,515)	(16,559,679)	394,315,829	130,184,490	524,500,319
Total Comprehensive Income for the year	-	-	410,916,023	(40,515)	134,981,545	545,857,053	360,940,065	906,797,118
Transactions with owners of the Company								
Contributions and Distributions								
Subsidiary Dividend Paid to Minority Share Holders	-	-	-	-	-	-	(12,248,532)	(12,248,532)
Total Contributions and Distributions	-	-	-	-	-	-	(12,248,532)	(12,248,532)
Effect of Change in Percentage Holding in Subsidiary	-	-	-	-	(10,977,286)	(10,977,286)	10,050,786	(926,500)
Total changes in ownership interest	-	-	-	-	(10,977,286)	(10,977,286)	10,050,786	(926,500)
Total Transactions with owners of the Company	-	-	-	-	(10,977,286)	(10,977,286)	(2,197,746)	(13,175,032)
Balance as at 31 March 2018	1,053,643,405	-	856,717,592	(435,510)	2,140,513,431	4,050,438,918	2,428,238,516	6,478,677,434

The notes numbered 11 to 69 form an integral part of these Financial Statements
 Figures in bracket indicate deductions

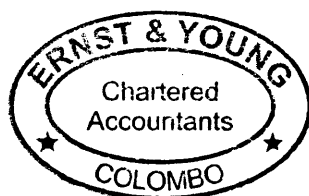


STATEMENT OF CHANGES IN EQUITY

Year ended 31 March 2018

COMPANY	Stated Capital	Amalgamation Reserve	Retained Earnings	Total Equity
	LKR	LKR	LKR	LKR
Balance as at 31st March 2016	1,053,643,405	-	980,602,941	2,034,246,346
Profit / (Loss) for the year	-	-	(378,068,711)	(378,068,711)
Other Comprehensive Income	-	-	164,223	164,223
Total Comprehensive Income for the year	-	-	(377,904,488)	(377,904,488)
Balance as at 31st March 2017	1,053,643,405	-	602,698,453	1,656,341,858
Profit / (Loss) for the year	-	-	430,592,783	430,592,783
Other Comprehensive Income	-	-	118,052	118,052
Net Result to the Equity on Amalgamation		258,920,263	-	258,920,263
Total Comprehensive Income for the year	1,053,643,405	258,920,263	430,710,835	689,631,098
Balance as at 31st March 2018	1,053,643,405	258,920,263	1,033,409,288	2,345,972,956

The Notes from pages 11 to 69 form an integral part of these Financial Statements
Figures in bracket indicate deductions

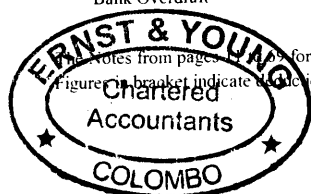


STATEMENT OF CASH FLOW

Year ended 31 March 2018

	Notes	Group		Company	
		2018 LKR	2017 LKR	2018 LKR	2017 LKR
Cash Flows From Operating Activities					
Profit before Taxation		286,330,112	102,101,357	413,268,169	(377,926,947)
Loss before tax from Discontinuing Operations	4	13,144,636	127,289,960	-	-
Adjustment for					
Depreciation of Property, Plant & Equipment	12	340,343,584	330,121,430	289,906	299,673
Impairment of Property, Plant & Equipment		-	16,007,533	-	-
Impairment of Investment Property		-	58,399,713	-	-
Write-off of Lease Hold Property		-	25,113,883	-	-
Amortization of Intangible Assets	14	12,314,099	8,979,630	-	-
Change in Fair Value of Financial Assets Held for Sale		(222,469,300)	(963,964)	-	-
Provision for Retirement Benefit Obligation	24	62,963,136	50,519,462	890,966	857,999
Change in Fair Value of Investment Property	16	(237,834,192)	(365,400,263)	(4,000,000)	(2,000,000)
Amortization of Deferred Income	25	(387,745)	(423,000)	-	-
Loss / (Gain) on disposal of Property, Plant & Equipment	7	(1,277,631)	(4,183,554)	-	-
Impairment of Trade and Other Receivables	20.2	25,569,882	55,739,062	2,083,386	1,070,788
Changes in fair value of Biological Assets	15	(2,400,000)	(6,180,000)	-	-
Interest Income of Deposit with CSE		(32,406)	-	-	-
Reversal of investment in subsidiaries	17.1.2.1	-	-	(218,707,472)	-
Impairment of Inventories	19.2	81,134,087	(27,702,036)	-	-
Interest on Preference shares		23,940	-	-	-
Interest Expense	8	829,580,187	713,807,939	-	-
Gain on disposal of Assets Held for Sale		(47,223,506)	-	-	-
Gain on Disposal of Subsidiary		-	(153,224,579)	(609,911,667)	-
Employee Share Appreciation Rights	28	61,612,600	-	61,612,600	-
Write back of Interest Bearing loans and Borrowings		-	(28,309,107)	-	-
Operating Profit before Working Capital Changes		<u>1,201,391,483</u>	<u>901,693,466</u>	<u>(354,474,112)</u>	<u>(377,698,487)</u>
(Increase)/Decrease in Inventories		(980,719,808)	38,574,255	-	-
(Increase)/Decrease in Trade & Other Receivables		(676,601,091)	7,555,651	(61,003,692)	37,166,647
Increase/(Decrease) in Deferred Income		241,731,816	-	-	-
Increase/(Decrease) in Trade & Other Payable		336,598,342	(74,069,217)	(2,915,202)	1,804,398
Cash Generated from Operations		<u>122,400,742</u>	<u>873,754,155</u>	<u>(418,393,006)</u>	<u>(338,727,442)</u>
Retirement Gratuity Paid	24	(35,677,973)	(33,981,292)	-	(665,500)
Interest Paid		(802,990,718)	(691,789,181)	-	-
Income Tax Paid		(158,388,903)	(121,189,870)	-	(13,902,991)
Net Cash Flow from/ (used in) Operating Activities		<u>(874,656,852)</u>	<u>26,793,812</u>	<u>(418,393,006)</u>	<u>(353,295,933)</u>
Cash Flow from Investing Activities					
Acquisition of Property, Plant & Equipment	12	(196,550,798)	(208,860,937)	(38,500)	(106,010)
(Acquisition)/ Proceed from other financial assets		(978,464,969)	(252,506,482)	-	-
Acquisition of Intangible Assets	14	(9,948,144)	(14,697,115)	-	-
Acquisition of Investment Properties	16	(4,835,475)	-	-	-
Disposal of Other Financial Assets		538,848,506	-	-	-
Assets Classified as Held for Sale		(7,706,197)	-	-	-
Liabilities Directly Associated with Assets Classified as Held For Sale		(3,732,224)	-	-	-
Net Proceeds from Government Securities		13,715,047	726,348,731	(613,846,352)	726,348,731
Proceeds from disposal of Subsidiaries		-	-	671,345,000	-
Investment in Subsidiaries		(122,684,068)	-	(513,416,776)	24,166,667
Redemption of Preference Shares		-	-	560,000,000	-
Proceed from Assets Held for Sales	4.2	1,000,000,000	-	-	-
Proceeds on Disposal of Property, Plant & Equipment		23,129,099	127,270,114	-	-
Net Cash Flow From / (Used) in Investing Activities		<u>251,770,777</u>	<u>377,554,311</u>	<u>104,043,372</u>	<u>750,409,388</u>
Cash Flow from Financing Activities					
Loan Received		181,358,319,324	186,351,183,137	173,334,199,226	180,268,557,877
Dividend Paid to Non-Controlling Interest		(12,248,531)	(33,332,155)	-	-
Effect of Exchange Rate Changes in Loans & Borrowings		30,783,651	(177,907)	-	-
Repayment of Finance Lease		(3,400,000)	-	-	-
Repayment of Loans		(178,927,746,614)	(187,066,780,281)	(173,162,993,569)	(180,996,182,295)
Net Cash Flow Used in Financing Activities		<u>2,445,707,830</u>	<u>(749,107,206)</u>	<u>171,205,657</u>	<u>(727,624,418)</u>
Net Increase/(Decrease) in Cash & Cash Equivalent during the year		<u>1,822,821,755</u>	<u>(344,759,083)</u>	<u>(143,143,977)</u>	<u>(330,510,963)</u>
Cash & Cash Equivalents					
Net movement during the year		1,822,821,755	(344,759,083)	(143,143,977)	(330,510,963)
At the beginning of the year		(2,584,634,209)	(2,239,875,126)	(1,866,578,860)	(1,536,067,897)
At the end of the year (Note A)		<u>(761,812,454)</u>	<u>(2,584,634,209)</u>	<u>(2,009,722,837)</u>	<u>(1,866,578,860)</u>
Note A-Cash and Equivalents are as follows					
Cash in Hand & Bank		1,999,187,137	815,416,259	372,368	106,750
Bank Overdraft		(2,760,999,591)	(3,400,050,468)	(2,010,095,205)	(1,866,685,610)
		<u>(761,812,454)</u>	<u>(2,584,634,209)</u>	<u>(2,009,722,837)</u>	<u>(1,866,578,860)</u>

Notes from pages 12 to 19 form an integral part of these Financial Statements
 Figures in bracket indicate deductions



1. CORPORATE INFORMATION

1.1 Reporting Entity

Ambeon Capital PLC (Formerly known as Taprobane Holdings PLC) is a public limited liability Company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The registered office and the principal place of Business are located at 01st Floor, No 10, Gothami Road, Colombo 08.

1.2 Consolidated Financial Statements

The Financial Statements for the year ended 31 March 2018, comprise “the Company” referring to Ambeon Capital PLC as the holding Company and “the Group” referring to the companies whose accounts have been consolidated therein.

1.3 Parent Entity

The Company’s ultimate parent is CHC Investment (Private) Limited, Private Limited Liability Company incorporated and domiciled in Sri Lanka.

1.4 Approvals of Financial Statements

The Financial Statements for the year ended 31 March 2018 were authorized for issue in accordance with a resolution by the board of directors on 30th July 2018

1.5 Principal Activities & Nature of Operations

Holding Company

Ambeon Capital PLC, the Group’s holding Company, operated as the Investments holding company of the Group and is presently engaged in carrying out investment related activities.

Subsidiary – Ambeon Holdings PLC

Ambeon Holdings PLC (Formerly known as Lanka Century Investments PLC), manages a portfolio of holdings consisting of a range of diverse business operations, which together constitute the Ambeon Group, and provides function-based services to its subsidiaries and associates. Subsidiaries of the group were engaged in manufacturing of footwear, porcelain, textiles and managing property, IT services and investments.

Subsidiary - Lexinton Holdings (Pvt) Ltd

During the period, the principal activity of the company was lending and maintaining commercial property, dwelling flats for lease.

Subsidiary- Lexinton Resorts (Pvt) Ltd

During the year, the principle activity of the Company was managing the real estate.

Subsidiary -Heron Agro Products (Pvt) Ltd

During the period, the principal activity of the company was involved in Estate Management.

Sub - subsidiary – Ceylon Leather Products PLC

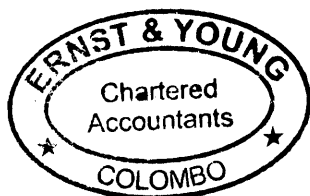
During the period, the principal activities of the Company were manufacturing and selling of Leather, Leather Footwear and Leather Goods. Company has obtained delisting approval with effect from 01 June 2018, thereby the name change approval is pending from registrar of companies

Sub-subsidiary through Ceylon Leather Products PLC – Ceylon Leather Products Distributors (Pvt) Ltd

The principal activity of the Company was retail selling of Leather Footwear and Leather Goods.

Sub -subsidiary – South Asia Textile Ltd

During the year, the principal activity of the Company was manufacturing and sale of knitted fabrics for the export and local markets.



Sub- Subsidiary – Palla & Company (Pvt) Ltd

The principal activity of the Company was manufacturing shoes for exports and the Company ceased operations with effect from 31 August 2015.

Sub- subsidiary –Dankotuwa Porcelain PLC

During the period, the principal activity of the company was to manufacture porcelain tableware to export and domestic market.

Sub-subsidiary through Dankotuwa Porcelain PLC – Taprobane Capital (Pvt) Ltd

The Company is the Investment Holding Company of Royal Fernwood Porcelain (Pvt) Ltd. As at 25 September 2017 the company has merged with Dankotuwa Porcelain PLC

Sub-subsidiary through Dankotuwa Porcelain PLC – Royal Fernwood Porcelain Ltd

During the period, the principal activity of the company was to manufacture porcelain tableware to export and domestic market.

Sub-subsidiary through Dankotuwa Porcelain PLC – Lanka Decals (Pvt) Ltd

The principal activity of the Company was to manufacture Decals. However, there were no operations during the year.

Sub-subsidiary through Dankotuwa Porcelain PLC – Fernwood Lanka (Pvt) Ltd

The principal activity of the Company was the sale of porcelain tableware to domestic market. However, there were no operations during the year.

Sub-subsidiary through Dankotuwa Porcelain PLC - DPL Trading (Private) Limited

The principal activity of the Company was retail selling of porcelain tableware domestic market.

Sub-subsidiary –Colombo City holdings PLC

During the period, the principal activity of the Company was to engage in Real Estate

Sub -subsidiary – Olancom (Pvt) Ltd

The Company is the Investment Holding Company of Roomsnet International Limited.

Sub -subsidiary – Millennium Information Technologies (Pvt) Limited

During the period, the principal activity of the Company was specialising in the Integration Business provides a host of specialised, scalable solutions ranging from Core Infrastructure, Information Security, Business Collaboration, Near-Field Communications, Business Productivity. Managed Solutions and Customer Relationship Management

Sub - subsidiary – Eon Tec (Private) Limited

The Company is the Investment Holding Company

Sub - subsidiary - Taprobane Capital Plus (Pvt) Ltd

Taprobane Capital Plus (Private) Limited was incorporated on 9 October 2017 to hold the investments Taprobane Securities (Private) Limited, Taprobane Investments (Private) Limited and Taprobane Wealth Plus (Private) Limited.

Sub-subsidiary through Taprobane Capital Plus (Pvt) Ltd - Taprobane Securities (Private) Limited

The principal activity of the company is functioning as a stock broker in the Colombo Stock Exchange.

Sub-subsidiary through Taprobane Capital Plus (Pvt) Ltd - Taprobane Investments (Private) Limited

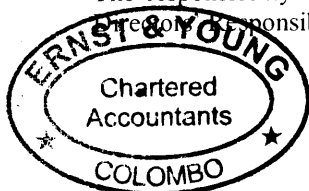
The principal activity of the company is conducting Money Broking transactions in the open market.

Sub-subsidiary through Taprobane Capital Plus (Pvt) Ltd - Taprobane Wealth Plus (Private) limited

The principal activity of the company is conducting Corporate Finance activities.

1.6 Responsibility for Financial Statements

The responsibility of the Directors in relation to the Financial Statements is set out in the Statement of Responsibility report in the Annual report.



2. BASIS OF PREPARATION

2.1 Basis of Measurement

The consolidated Financial Statements have been prepared on an accrual basis and under the historical cost convention except for investment properties, land and buildings, derivative financial instruments, fair value through profit or loss financial assets, available-for-sale financial assets that have been measured at fair value.

2.2 Statement of Compliance

The Financial Statements which comprise the Statement of Profit or Loss, Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity and the Statement of Cash Flows together with the Accounting Policies and notes (the "Financial Statements") have been prepared in accordance with Sri Lanka Accounting Standards (SLFRS/LKAS) as issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and the requirement of the Companies Act No. 7 of 2007.

2.3 Comparative Information

The presentation and classification of the Financial Statements of the previous years have been amended, where relevant for better presentation and to be comparable with those of the current year.

2.4 Going Concern

The Directors have made an assessment of the Group's ability to continue as a going concern and they do not intend either to liquidate or cease trading.

2.5 Presentation and Functional Currency

The consolidated Financial Statements are presented in Sri Lankan Rupees, the Group's functional and presentation currency, which is the primary economic environment in which the Holding Company operates. Each entity in the Group uses the currency of the primary economic environment in which they operate as their functional currency.

2.6 Basis of Consolidation

The consolidated Financial Statements comprise the Financial Statements of the Company and its subsidiaries as at 31st March 2018. The Financial Statements of the subsidiaries are prepared in compliance with the Group's accounting policies unless otherwise stated.

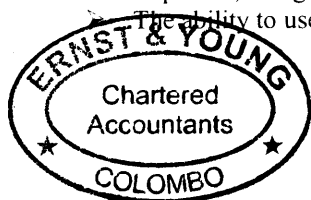
All intra-Group balances, income and expenses, unrealized gains and losses resulting from intra-Group transactions and dividends are eliminated in full.

2.7 Subsidiary

Control over an investee is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns



When the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; and
- The Group's voting rights and potential voting rights

The Group re-assesses whether or not it controls an investee, if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated Financial Statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. The Financial Statements of the subsidiaries are prepared for the same reporting period as the parent Company, which is 12 months ending 31 March, using consistent accounting policies.

- a. Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance.
- b. A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.
- c. If the Group loses control over a subsidiary, it:
 - Derecognizes the assets (including goodwill) and liabilities of the subsidiary
 - Derecognizes the carrying amount of any non-controlling interest
 - Derecognizes the cumulative translation differences, recorded in equity
 - Recognizes the fair value of the consideration received
 - Recognizes the fair value of any investment retained
 - Recognizes any surplus or deficit in profit or loss
 - Reclassifies the parent's share of components previously recognized in other comprehensive income to profit or loss or retained earnings, as appropriate.

The total profits and losses for the year of the Company and of its subsidiaries included in consolidation are shown in the consolidated income statement and statement of comprehensive income and all assets and liabilities of the Company and of its subsidiaries included in consolidation are shown in the statement of financial position.

Non-controlling interest which represents the portion of profit or loss and net assets not held by the Group, are shown as a component of profit for the year in the consolidated income statement and statement of comprehensive income and as a component of equity in the consolidated statement of financial position, separately from parent's shareholders' equity.

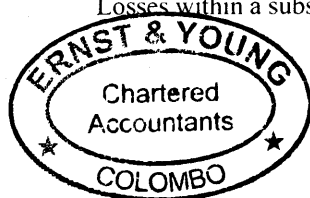
The consolidated statement of cash flow includes the cash flows of the Company and its subsidiaries.

2.8 Transactions with Non-Controlling Interests

The profit or loss and net assets of a subsidiary attributable to equity interests that are not owned by the parent, directly or indirectly through subsidiaries, is disclosed separately under the heading 'Non-Controlling Interest'.

The Group applies a policy of treating transactions with non-controlling interests as transactions with parties external to the Group.

Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance.



2.9 Significant Accounting Judgements, Estimates and Assumptions

The preparation of the Financial Statements of the Group require the management to make judgments, estimates and assumptions, which may affect the amounts of income, expenditure, assets, liabilities and the disclosure of contingent liabilities, at the end of the reporting period. In the process of applying the Group's accounting policies, the key assumptions made relating to the future and the sources of estimation at the reporting date together with the related judgments that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the financial year are discussed below.

Judgements

Estimates and Assumptions

Revaluation of property, plant and equipment and investment properties

The Group measures land and buildings at revalued amounts with changes in fair value being recognized in Other Comprehensive Income and in the Statement of Changes in Equity. In addition, it carries its investment properties at fair value, with changes in fair value being recognized in the income statement. The Group engaged independent valuation specialists to determine fair value of investment property and land and buildings as at 31st March 2018.

The valuer has used valuation techniques such as market approach, cost approach and income approach.

The methods used to determine the fair value of the investment property are further explained in Note 16

Impairment of non-financial assets

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use (VIU). The fair value less costs to sell calculation is based on available data from an active market, in an arm's length transaction, of similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used for extrapolation purposes.

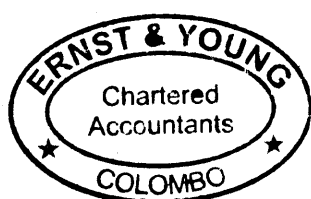
The key assumptions used to determine the value in use (VIU) are further explained in Note 14.2.

Fair value of financial instruments

Where the fair value of financial assets and financial liabilities recorded in the statement of financial position cannot be derived from active markets, their fair value is determined using valuation techniques including the discounted cash flow model. The inputs to these models are taken from observable markets where possible. Where this is not feasible, a degree of judgment is required in establishing fair values. The judgments include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

Deferred Tax Assets/ Liabilities

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and the level of future taxable profits together with future tax planning strategies. Further details on taxes are disclosed in Note 26.



Employee benefit liability

The employee benefit liability of the Group determines using actuarial valuation carried out by an independent actuarial specialist. The actuarial valuations involve making assumptions about discount rates and future salary increases. The complexity of the valuation, the underlying assumptions and its long-term nature, the defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

Details of the key assumptions used in the estimates are contained in Note 24.5.

2.10 Summary of Significant Accounting Policies

The presentation and classification of the Financial Statements of the previous period have been amended, where relevant, for better presentation and to be comparable with those of the current period.

These accounting policies have been applied consistently by Group's entities.

2.10.1 Revenue

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group, and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable, net of trade discounts and value added taxes, after eliminating sales within the Group.

The following specific criteria are used for recognition of revenue:

a. Sale of goods

Revenue from the sale of goods is recognized when the significant risk and rewards of ownership of the goods have passed to the buyer with the Group retaining neither a continuing managerial involvement to the degree usually associated with ownership, nor an effective control over the goods sold.

b. Revenue recognition multiple element arrangements

The Group recognizes revenue on multiple element arrangements and design and build software contracts. Multiple element arrangements require management judgment in determining unit of accounting for such arrangement. Design and build software contracts uses percentage of completion method relies on output method, which is the contract milestones, supported by user acceptance confirmation

c. Rendering of services

Revenue from rendering of services is recognized by reference to the stage of completion. Where the contract outcome cannot be measured reliably, revenue is recognized only to the extent that the expenses incurred are eligible to be recovered.

d. Deferred Income

Revenue from deferred income is recognized throughout the service agreement period and for Multiple element arrangements such as arrangement to Design and build software contracts revenue recognize on contract milestones achievement with user acceptance confirmation.

e. Dividend

Dividend income is recognized when the Group's right to receive the payment is established.

f. Finance income

Finance income comprises interest income on funds invested (including available-for-sale financial assets), dividend income, gains on the disposal of available-for-sale financial assets, fair value gains on financial assets at fair value through profit or loss, gains on the re-measurement to fair value of any pre-existing interest in an acquiree that are recognized in income statement.



Interest income or expense is recorded as it accrues using the Effective Interest Rate (EIR), which is the rate that exactly discounts the estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or liability. Interest income is included in finance income in the income statement.

g. Commissions

When the Group acts in the capacity of an agent rather than as the principal in a transaction, the revenue recognised is the net amount of commission made by the Group.

h. Rental income

Rental income arising from operating leases on investment properties is accounted for on a straight-line basis over the lease terms.

i. Gains and losses

Net gains and losses of a revenue nature arising from the disposal of property, plant and equipment and other noncurrent assets, including investments, are accounted for in the income statement, after deducting from the proceeds on disposal, the carrying amount of such assets and the related selling expenses.

j. Other income

Other income is recognized on an accrual basis.

2.10.2 Expenditure recognition

Expenses are recognized in the income statement on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the income statement.

For the purpose of presentation of the income statement, the “function of expenses” method has been adopted, on the basis that it presents fairly the elements of the Company and Group’s performance.

2.10.3 Finance costs

Finance costs comprise interest expense on borrowings, unwinding of the discount on provisions, losses on disposal of available for- sale financial assets, fair value losses on financial assets at fair value through profit or loss, impairment losses recognized on financial assets (other than trade receivables) that are recognized in the income statement.

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the respective assets. All other borrowing costs are expensed in the period they occur. Borrowing costs consist of interest and other costs that the Group incurs in connection with the borrowing of funds.

2.10.4 Property, plant and equipment

Basis of recognition

Property, plant and equipment are recognized if it is probable that future economic benefits associated with the asset will flow to the Group and the cost of the asset can be reliably measured.



Basis of measurement

Plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment loss. Such cost includes the cost of replacing component parts of the plant and equipment and borrowing costs for long-term construction projects if the recognition criteria are met. When significant parts of plant and equipment are required to be replaced at intervals, the Group derecognizes the replaced part, and recognizes the new part with its own associated useful life and depreciation. Likewise, when a major inspection is performed, its cost is recognized in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in the income statement as incurred.

Land and buildings are measured at fair value less accumulated depreciation on buildings and impairment charged subsequent to the date of the revaluation.

The carrying values of property, plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

Any revaluation surplus is recognized in other comprehensive income and accumulated in equity in the asset revaluation reserve, except to the extent that it reverses a revaluation decrease of the same asset previously recognized in the income statement, in which case the increase is recognized in the income statement. A revaluation deficit is recognized in the income statement, except to the extent that it offsets an existing surplus on the same asset recognized in the asset revaluation reserve.

Accumulated depreciation as at the revaluation date is eliminated against the gross carrying amount of the asset and the net amount is restated to the revalued amount of the asset. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

The Group has adopted a policy of revaluing assets by professional valuers at least every 5 years.

Derecognition

An item of property, plant and equipment are derecognized upon replacement, disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset is included in the income statement in the year the asset is derecognized.

Depreciation

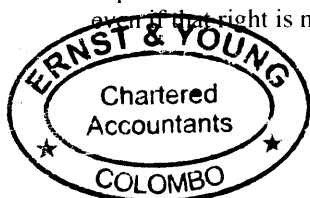
Depreciation is calculated by using a straight-line method on the cost or valuation of all property, plant and equipment, other than freehold land, in order to write off such amounts over the estimated useful economic life of such assets.

Depreciation methods, useful life values are assessed at the reporting date. The estimated useful lives for the current year are as follows.

Land Development Cost	10 Years
Buildings	10-50 Years
Plant & Machinery	10-15 Years
Tools & Equipment	5-18 Years
Furniture Fittings & Office Equipment	5-7 Years
Motor Vehicles	4-6 Years
Waste Water Purification Project	15 Years
Kilns & Kiln Furniture	3-15 Years
Computer Equipment	1-5 Years

2.10.5. Leases

The determination of whether an arrangement is, or contains, a lease is based on the substance of the arrangement at the inception date. The arrangement is assessed for whether fulfillment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.



A leased asset is depreciated over the useful life of the asset. However, if there is no reasonable certainty that the Group will obtain ownership by the end of the lease term, the asset is depreciated over the shorter of the estimated useful life of the asset and the lease term.

Operating lease payments are recognized as an operating expense in the income statement on a straight-line basis over the lease term.

2.10.6 Lease rentals paid in advance (Leasehold Properties)

Prepaid lease rentals paid to acquire land use rights are amortized over the lease term in accordance with the pattern of benefits provided. Details of the pre-paid lease rentals are given in note 13 to the Financial Statements.

2.10.7 Biological Assets

The entity recognizes the biological assets when, and only when, the entity controls the assets as a result of a past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value for cost of the assets can be measured reliably, Biological assets are classified into mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications.

The cost of the land preparation, rehabilitation, new planting, replanting, crop diversifications, inter-planting and fertilizing, etc., incurred between the time of planting and harvesting (when the planted area attains maturity), are classified as immature plantations. These immature plantations are shown at direct costs plus attributable overheads, including interest attributable to long-term loans used for financing immature plantations. The expenditure incurred on bearer biological assets (Tea, Rubber fields) which comes into bearing during the year, is transferred to mature plantations. Expenditure incurred on consumable biological assets is recorded at cost at initial recognition and thereafter at fair value at the end of each reporting period. Biological assets are further classified as bearer biological assets and consumable biological assets.

a. Bearer Biological Assets

Bearer biological assets include tea, rubber & coconut trees that are not intended to be sold or harvested, but are grown for harvesting agricultural produce from such biological assets. The bearer biological assets are measured at cost less accumulated depreciation and accumulated impairment losses, if any, in terms of LKAS 16 – Property Plant & Equipment.

b. Consumable Biological Assets

Consumable biological assets include managed timber trees that are to be sold as biological assets. The managed timber trees are measured on initial recognition and at the end of each reporting period at its fair value less cost to sell in terms of LKAS 41. The cost is treated as approximation to fair value of young plants as the impact on biological transformation of such plants to price during this period is immaterial.

The gain or loss arising on initial recognition of biological assets at fair value less cost to sell and from a change in fair value less cost to sell of biological assets are included in Comprehensive Income Statement for the period in which it arises.

c. Infilling Cost on Bearer Biological Assets

Where infilling results in an increase in the economic life of the relevant field beyond its previously assessed standard of performance, the costs are capitalized and depreciated over the useful life at rates applicable to mature plantations. Infilling costs that are not capitalized have been charged to the Statement of comprehensive income in the year in which they are incurred.



2.10.8 Investment Property

Investment properties are measured initially at cost, including transaction costs. The carrying value of an investment property includes the cost of replacing part of an existing investment property, at the time that cost is incurred if the recognition criteria are met, and excludes the costs of day-to-day servicing of the investment property. Subsequent to initial recognition, the investment properties are stated at fair values, which reflect market conditions at the reporting date.

Gains or losses arising from changes in fair value are included in the income statement the year in which they arise. Fair values are evaluated at frequent intervals by an accredited external, independent valuer.

Investment properties are derecognized when disposed, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on retirement or disposal are recognized in the income statement in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property or inventory (WIP), the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner occupied property becomes an investment property or inventory (WIP), the Group accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant and equipment in the Consolidated Financial Statements, and accounted using Group accounting policy for property, plant and equipment.

2.10.9 Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less accumulated amortization and accumulated impairment losses, if any. Internally generated intangible assets, excluding capitalized development costs, are not capitalized and expenditure is recognized in the income statement when it is incurred.

The useful lives of intangible assets are assessed as either finite or indefinite. Intangible assets with finite lives are amortized over their useful economic lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortization period or method, as appropriate, and are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in the income statement in the expense category consistent with the function of the intangible assets.

Intangible assets with indefinite useful lives are not amortized, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the income statement when the asset is derecognized.



2.10.10 Business combinations and goodwill

Acquisition of subsidiaries are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at the acquisition date fair value and the amount of any non-controlling interest in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interest in the acquiree at fair value or at the proportionate share of the acquiree at the fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in administrative expenses.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

If the business combination is achieved in stages, the previously held equity interest is remeasured at its acquisition date fair value and any resulting gain or loss is recognized in profit or loss. Any contingent consideration to be transferred by the acquirer will be recognized at fair value at the acquisition date. Contingent consideration which is deemed to be an asset or liability that is a financial instrument and within the scope of LKAS 39 Financial Instruments: Recognition and Measurement, is measured at fair value with changes in fair value either in profit or loss or as a change to other comprehensive income (OCI). If the contingent consideration is not within the scope of LKAS 39, it is measured in accordance with the appropriate SLFRS.

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interest over the net identifiable assets acquired and liabilities assumed. If this consideration is lower than the fair value of the net assets of the subsidiary acquired, the difference is recognized in profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

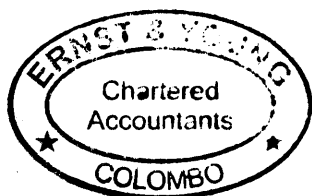
Impairment is determined by assessing the recoverable amount of the cash-generating unit to which the goodwill relates as further explained in Note 2.10.13.

Where goodwill forms part of a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion the cash-generating unit retained.

2.10.11 Common Control Business Combinations

Business combinations between entities under common control are accounted for using pooling of interest method. Accordingly,

- The assets and liabilities of the combining entities are reflected at their carrying amounts.
- No new goodwill is recognised as a result of the combination. Any difference between the consideration paid/transferred and the equity acquired is reflected within equity.



2.10.12 Foreign currencies***Foreign currency transactions and balances***

The Group's consolidated Financial Statements are presented in Sri Lankan Rupees, which is also the parent Company's functional currency. For each entity the Group determines the functional currency and items included in the Financial Statements of each entity are measured using that functional currency. The Group uses the direct method of consolidation and has elected to recycle the gain or loss arises from this method.

Transactions and balances

Transactions in foreign currencies are initially recorded by the Group entities at their respective functional currency spot rate at the date the transaction first qualifies for recognition.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency spot rate of exchange ruling at the reporting date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary measured at fair value is treated in line with the recognition of gain or loss on change in fair value in the item (i.e., the translation differences on items whose fair value gain or loss is recognized in other comprehensive income (OCI) or profit or loss are also recognized in OCI or profit or loss, respectively).

Foreign operations

The statement of financial position and income statement of overseas subsidiaries which are deemed to be foreign operations are translated to Sri Lanka rupees at the rate of exchange prevailing as at the reporting date and at the average annual rate of exchange for the period respectively.

The exchange differences arising on the translation are taken directly to other comprehensive income. On disposal of a foreign entity, the deferred cumulative amount recognized in other comprehensive income relating to that particular foreign operation is recognized in the income statement.

The Group treated goodwill and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition as assets and liabilities of the parent. Therefore, those assets and liabilities are non-monetary items already expressed in the functional currency of the parent and no further translation differences occur.

2.10.13 Impairment of non-financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is higher of asset's or cash generating unit's (CGU) fair value less costs to sell and its value in use. It is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.



The Group bases its impairment calculation on detailed budgets and forecasts which are prepared separately for each of the Group's CGU to which the individual assets are allocated. These budgets and forecast calculations are generally covering a period of five years. For longer periods, a long-term growth rate is calculated and applied to project future cash flows after the fifth year.

Impairment losses of continuing operations, including impairment on inventories, are recognized in the income statement in those expense categories consistent with the function of the impaired asset, except for a property previously revalued where the revaluation was taken to other comprehensive income. In this case, the impairment is also recognized in other comprehensive income up to the amount of any previous revaluation.

For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the Group estimates the asset's or CGU's recoverable amount. A previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the income statement unless the asset is carried at a revalued amount, in which case the reversal is treated as a revaluation increase.

2.10.14 Government grants

Government grants are recognized where there is reasonable assurance that the grant will be received and all attached conditions will be complied with. When the grant relates to an expense item, it is recognized as income on a systematic basis over the periods that the costs, which it is intended to compensate, are expensed. Where the grant relates to an asset, it is recognized as income in equal amounts over the expected useful life of the related asset.

When the Group receives non-monetary grants, the asset and the grant are recorded gross at nominal amounts and released to profit or loss over the expected useful life in a pattern of consumption of the benefit of the underlying asset by equal annual installments.

When loans or similar assistance are provided by governments or related institutions with an interest rate below the current applicable market rate, the effect of this favorable interest is regarded as a government grant.

2.10.15 Taxes

a. Current income tax

Current income tax assets and liabilities for the current period are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date.

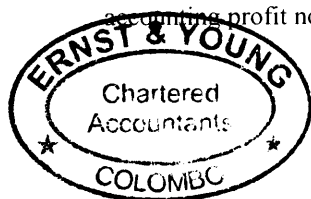
Current income tax relating to items recognized directly in equity is recognized in equity and not in the income statement. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

b. Deferred tax

Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax liabilities are recognized for all taxable temporary differences, except:

- When the deferred tax liability arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.



- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognized for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilized, except:

- When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognized outside profit or loss is recognized outside profit or loss. Deferred tax items are recognized in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current tax assets against current tax liabilities and when the deferred taxes relate to the same taxable entity and the same taxation authority.

c. Sales Tax

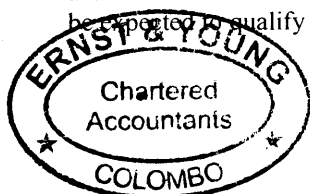
Revenues, expenses and assets are recognized net of the amount of sales tax except:

- where the sales tax incurred on a purchase of asset or service is not recoverable from the taxation authorities in which case the sales tax is recognized as a part of the cost of the asset or part of the expense item as applicable and
- receivable and payable that are stated with the amount of sales tax included.

The net amount of sales tax recoverable and payable in respect of taxation authorities is included as a part of receivables and payables in the Statement of Financial Position.

2.10.16 Non-current assets held for sale and discontinued operations

The Group classifies non-current assets and disposal groups as held for sale if their carrying amounts will be recovered principally through a sale rather than through continuing use. Non-current assets and disposal groups are measured at the lower of their carrying amount and fair value less costs to sell. The criteria for held for sale classification is regarded met only when the sale is highly probable and the asset or disposal group is available for immediate sale in its present condition. Management must be committed to the sale, which should be reported to qualify for recognition as a completed sale within one year from the date of classification.



Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as profit or loss after tax from discontinued operations in the income statement.

Property, plant and equipment and intangible assets once classified as held for sale/distribution to owners are not depreciated or amortized.

Additional disclosures are provided in Note 4. All other notes to the Financial Statements mainly include amounts for continuing operations, unless otherwise mentioned.

2.10.17 Inventories

Inventories are valued at the lower of cost and net realizable value, after making due allowances for obsolete and slow-moving items. Net realizable value is the price at which inventories can be sold in the ordinary course of business less the estimated cost of completion and the estimated cost necessary to make the sale.

The cost incurred in bringing inventories to its present location and condition is accounted using the following cost formula :-

Raw Materials	- At purchase cost on weighted average basis
Finished Goods & Work-in-Progress	- At the cost of direct materials, direct labour and an appropriate proportion of fixed production overheads based on normal operating capacity, but excluding borrowing Costs on weighted average basis.
Consumables & Spares	- At purchase cost on weighted average basis
Goods in Transit	- At purchase price
Real Estate – Land	- At purchase cost

2.10.18 Financial instruments-initial recognition and subsequent measurement

a. Financial assets

Initial recognition and measurement

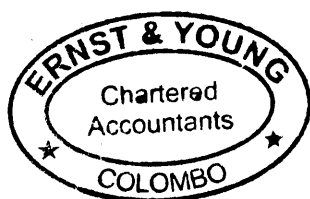
Financial assets within the scope of LKAS 39 are classified as financial assets at fair value through profit or loss, loans and receivables, held-to-maturity investments, available-for-sale financial assets, or as derivatives designated as hedging instruments in an effective hedge, as appropriate. The Group determines the classification of its financial assets at initial recognition.

All financial assets are recognized initially at fair value plus transaction costs, in the case of assets not at fair value through profit or loss.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the marketplace (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Subsequent measurement

The subsequent measurement of financial assets depends on their classification as described below:



Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss includes financial assets held-for-trading and financial assets designated upon initial recognition at fair value through profit or loss. Financial assets are classified as held-for-trading if they are acquired for the purpose of selling or repurchasing in the near term. This category includes derivative financial instruments entered into by the Group that are not designated as hedging instruments in hedge relationships as defined by LKAS 39. Derivatives, including separated embedded derivatives are also classified as held-for-trading unless they are designated as effective hedging instruments. Financial assets at fair value through profit and loss are carried in the statement of financial position at fair value with changes in fair value recognized in finance income or finance costs in the income statement.

The Group evaluates its financial assets held-for-trading, (other than derivatives), to determine whether the intention to sell them in the near term is still appropriate. When the Group is unable to trade these financial assets due to inactive markets and management the Group may elect to reclassify these financial assets in rare circumstances. The reclassification to loans and receivables, available-for-sale or held-to-maturity depends on the nature of the asset. This evaluation does not affect any financial assets designated at fair value through profit or loss using the fair value option at designation.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest rate method (EIR), less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance income in the income statement. The losses arising from impairment are recognized in the income statement in finance costs.

Held-to-maturity investments

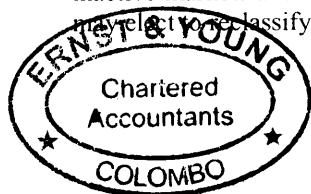
Non-derivative financial assets with fixed or determinable payments and fixed maturities are classified as held-to-maturity when the Group has the positive intention and ability to hold them to maturity. After initial measurement, held-to-maturity investments are measured at amortized cost using the effective interest method, less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance income in the income statement. The losses arising from impairment are recognized in the income statement in finance costs.

Available-for-sale financial investments

Available-for-sale financial investments include equity and debt securities. Equity investments classified as available-for-sale are those, neither classified as held-for-trading nor designated at fair value through profit or loss. Debt securities in this category are those which are intended to be held for an indefinite period of time and which may be sold in response to needs for liquidity or in response to changes in the market conditions.

After initial measurement, available-for-sale financial investments are subsequently measured at fair value with unrealized gains or losses recognized as other comprehensive income in the available-for-sale reserve until the investment is derecognized, at which time, the cumulative gain or loss is recognized in other operating income, or determined to be impaired, at which time the cumulative loss is reclassified to the income statement in finance costs and removed from the available-for-sale reserve. Interest income on available-for-sale debt securities is calculated using the effective interest method and is recognized in profit or loss.

The Group evaluates its available-for-sale financial assets to determine whether the ability and intention to sell them in the near term is still appropriate. When the Group is unable to trade these financial assets due to inactive markets and management's intention to do so significantly changes in foreseeable future, the Group may elect to reclassify these financial assets in rare circumstances.



Reclassification to loans and receivables is permitted when the financial assets meet the definition of loans and receivables and the Group has the intent and ability to hold these assets for the foreseeable future or until maturity. Reclassification to the held-to-maturity category is permitted only when the entity has the intention and ability to hold the financial asset accordingly.

For a financial asset reclassified out of the available-for-sale category, any previous gain or loss on that asset that has been recognized in equity is amortized to profit or loss over the remaining life of the investment using the EIR. Any difference between the new amortized cost and the expected cash flows is also amortized over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is reclassified to the income statement.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- The rights to receive cash flows from the asset have expired
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass through' arrangement; and either (a) the Group/Company has transferred substantially all the risks and rewards of the asset, or (b) the Group/Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of it, the asset is recognized to the extent of the Group's continuing involvement in it.

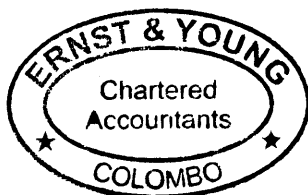
In such case, the Group also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

b. Impairment of financial assets

The Group assesses at each reporting date whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated. Evidence of impairment may include indications that the debtors or a group of debtors is experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganization and where observable data indicate that there is a measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

Financial assets carried at amortized cost

For financial assets carried at amortized cost, the Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If the Group determines that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognized are not included in a collective assessment of impairment.



If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The present value of the estimated future cash flows is discounted at the financial asset's original effective interest rate. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate.

The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognized in the income statement. Interest income continues to be accrued on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of finance income in the income statement. Loans together with the associated allowance are written off when there is no realistic prospect of future recovery and all collateral has been realized or has been transferred to the Group. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognized, the previously recognized impairment loss is increased or reduced by adjusting the allowance account. If a write-off is later recovered, the recovery is credited to finance costs in the income statement.

c. Financial liabilities

Initial recognition and measurement

Financial liabilities within the scope of LKAS 39 are classified as financial liabilities at fair value through profit or loss, loans and borrowings, or as derivatives designated as hedging instruments in an effective hedge, as appropriate. The Group determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings, carried at amortized cost. This includes directly attributable transaction costs.

The Group's financial liabilities include trade and other payables, bank overdrafts, loans and borrowings, financial guarantee contracts, and derivative financial instruments.

Subsequent measurement

The measurement of financial liabilities depends on their classification as follows:

Loans and borrowings

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the effective interest rate method. Gains and losses are recognized in the income statement when the liabilities are derecognized as well as through the effective interest rate method (EIR) amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included in finance costs in the income statement.

Financial guarantee contracts

Financial guarantee contracts issued by the Group/Company are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment in accordance with the terms of a debt instrument. Financial guarantee contracts are recognized initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee.

Subsequently, the liability is measured at the higher of the best estimate of the expenditure required to settle the present obligation at the reporting date and the amount recognized less cumulative amortization.



Derecognition

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires.

When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the income statement.

d. Offsetting of financial instruments

Financial assets and financial liabilities are offset with the net amount reported in the consolidated statement of financial position only if there is a current enforceable legal right to offset the recognized amounts and an intent to settle on a net basis, or to realize the assets and settle the liabilities simultaneously.

e. Fair value of financial instruments

The fair value of financial instruments that are traded in active markets at each reporting date is determined by reference to quoted market prices or dealer price quotations (bid price for long positions and ask price for short positions), without any deduction for transaction costs.

For financial instruments not traded in an active market, the fair value is determined using appropriate valuation techniques. Such techniques may include:

- Using recent arm's length market transactions;
- Reference to the current fair value of another instrument that is substantially the same;
- A discounted cash flow analysis or other valuation models.

An analysis of fair values of financial instruments and further details as to how they are measured are provided in Note 29.1.

2.10.19 Cash and short-term deposits

Cash and short-term deposits in the statement of financial position comprise cash at banks and on hand and short-term deposits with a maturity of three months or less.

For the purpose of the consolidated statement cash flows, cash and cash equivalents consist of cash and short-term deposits as defined above, net of outstanding bank overdrafts.

2.10.20 Employee benefits liabilities**Defined Benefit Plan - Gratuity:**

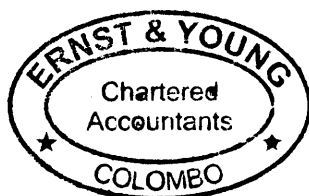
Gratuity is a defined benefit plan. The Group is liable to pay gratuity in terms of the relevant statute.

The Group measures the present value of the promised retirement benefits for gratuity, which is a defined benefit plan with the advice of an independent professional actuary using the Projected Unit Credit Method (PUC) as required by LKAS 19, Employee Benefits.

The item is stated under Defined Benefit Liability in the Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Any actuarial gains and losses arising are recognized immediately in Other Comprehensive Income.



Defined Contribution Plans:

The group also operates a defined contribution plan. The contribution payable to a defined contribution plan is in proportion to the services rendered to group by the employees and is recorded as an expense. Unpaid contributions are recorded as a liability.

Employees' Provident Fund and Employee' Trust Fund Employees are eligible for Employees' Provident Fund and Employee' Trust Fund contributions, in line with respective statute and regulations. The Group and employee contribute 12% and 8% respectively of the employee's month gross salary (excluding overtime) to the provident fund.

The group contributes 3% of the employee's monthly salary excluding overtime to the Employees' Trust Fund maintained by Employees Trust Fund Board

2.10.21 Provisions, contingent assets and contingent liabilities

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Group expects some or all of a provision to be reimbursed, for example under an insurance contract, the reimbursement is recognized as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the income statement net of any reimbursement.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

All contingent liabilities are disclosed as a note to the Financial Statements unless the outflow of resources is remote. A contingent liability recognized in a business combination is initially measured at its fair value.

Subsequently, it is measured at the higher of:

- The amount that would be recognized in accordance with the general guidance for provisions above (LKAS 37) or
- The amount initially recognized less, when appropriate, cumulative amortization recognized in accordance with the guidance for revenue recognition (LKAS 18)

Contingent assets are disclosed, where inflow of economic benefit is probable.

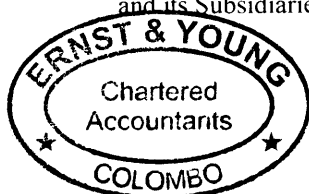
2.10.22 Segmental Information

The Group's internal organization and management is structured based on individual products and services which are similar in nature and process and where the risk and return are similar. The primary segments represent this business structure.

In addition, segments are determined based on the Group's geographical spread of operations as well. The geographical analysis of turnover and profits are based on location of customers and assets respectively.

As such for management purposes, the Group is organized into business units based on their products and services and has six reportable operating segments as follows:

- | | |
|---|---|
| • Manufacturing Footwear | : Ceylon Leather Products PLC and Palla & Company (Pvt) Ltd
(Discontinued in 2016) |
| • Manufacturing Textile | : South Asia Textiles Ltd |
| • Manufacturing Porcelain
and its Subsidiaries | : Dankotuwa Porcelain PLC and Royal Fernwood Porcelain Ltd |



- Property : Colombo City Holdings PLC, Lexinton Holdings (Pvt) Ltd, Lexinton Resorts (Pvt) Ltd, Heron Agro Products (Pvt) Ltd.
- IT and related Services : Millennium Information Technologies (Pvt) Limited
- Investments : Ambeon Holdings PLC and Olancom (Pvt) Ltd, Ambeon Capital PLC.

- Financial Services : Taprobane Securities (Private) Limited, Taprobane Investments (Private) Limited and Taprobane Wealth Plus (Private) limited. Taprobane Capital Plus (Pvt) Ltd. Lexinton Financial Services (Pvt) Ltd.

The principal activities of the cash generating units (Companies) related to each segment have been discussed under "Principal activities and nature of operations" section to the Financial Statements.

The accounting policies adopted for segment reporting are the same accounting policies adopted for preparing and presenting consolidated Financial Statements of the Group.

2.10.23 Share-based payments

Estimating fair value for share-based payment transactions requires determination of the most appropriate valuation model, which depends on the terms and conditions of the grant. This estimate also requires determination of the most appropriate inputs to the valuation model including the expected life of the share option or appreciation right, volatility and dividend yield and making assumptions about them. The Group initially measures the cost of cash-settled transactions with employees using a binomial model to determine the fair value of the liability incurred. For cash-settled share-based payment transactions, the liability needs to be remeasured at the end of each reporting period up to the date of settlement, with any changes in fair value recognised in profit or loss. This requires a reassessment of the estimates used at the end of each reporting period. For the measurement of the fair value of equity-settled transactions with employees at the grant date, the Group uses a binomial model. The assumptions and models used for estimating fair value for share-based payment transactions are disclosed in Note 28.2.

3. CHANGES IN ACCOUNTING STANDARDS AND STANDARDS ISSUED BUT NOT YET EFFECTIVE

The standards issued but not yet effective up to the date of issuance of the Company's Financial Statements are listed below. The Company intends to adopt these standards when they become effective.

SLFRS 9 - Financial Instruments

SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: Recognition and Measurement. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and derecognition of financial instruments from LKAS 39. SLFRS 9 is effective for annual reporting periods beginning on or after 1st January 2018, with early adoption permitted.

The Group has performed a high-level impact assessment of all three aspects of SLFRS 9. This preliminary assessment is based on currently available information and may be subject to changes arising from further detailed analyses or additional reasonable and supportable information being made available to the Group in the future. Overall, the Group expects no significant impact on its financial position and equity. Group will implement changes in classification of certain financial instruments.



SLFRS 15 - Revenue from Contracts with Customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognised. It replaces existing revenue recognition guidance, including LKAS 18 Revenue, LKAS 11 Construction Contracts and IFRIC 13 Customer Loyalty Programmes. SLFRS 15 is effective for annual reporting periods beginning on or after 1st January 2018, with early adoption permitted.

SLFRS 15 establishes a comprehensive framework for determining whether, how much, and when, revenue is recognised. It replaces existing revenue recognition guidance, including LKAS 18 Revenue, LKAS 11 Construction Contracts and IFRIC 13 Customer Loyalty Programmes.

SLFRS 15 establishes a five-step model to account for revenue arising from contracts with customers. Under SLFRS 15, revenue is recognised at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer. The Group is in the process of adopting the SLFRS 15 with the assistance of external consultants.

SLFRS 16 - Leases

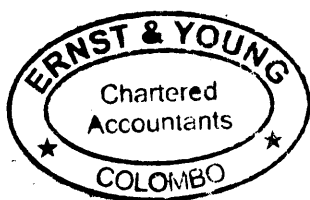
SLFRS 16 specifies how an entity will recognize, measure, present and disclose leases. The standard provides a single lessee accounting model requiring leases recognise assets and liabilities for all leases unless the term is 12 months or less or the underlying asset has a lower value. The Lessors continue to classify leases as operating or finance as SLFRS 16's approach for lessor accounting substantially unchanged from its predecessor. SLFRS 16 is effective for financial reporting periods beginning on or after 1st January 2018, with early adoption permitted.

This preliminary assessment is based on currently available information and may be subject to changes arising from further detailed analyses or additional reasonable and supportable information being made available to the Group in the future. Overall, the Group expects no significant impact on its financial position and equity.

Changes in accounting standards and standards issued but not yet effective

The following amendments and improvements are not expected to have a significant impact on the Group's Financial Statements

- Long-term Interests in Associates (Amendments to LKAS 28)
- Prepayment Features with Negative Compensation (Amendments to SLFRS 9)
- Insurance Contracts (Amendments to SLFRS 4)
- Share Based Payment (Amendments to SLFRS 2)
- Annual Improvements Cycle - 2014-2016



4. DISCONTINUED OPERATIONS AND ASSETS CLASSIFIED AS HELD FOR SALE

Current period Footwear segment includes the clearing activities of Palla and Company (Private) Limited a subsidiary of Ambeon Holdings PLC and a major line of business under the "footwear manufacturing" segment. The Company suspended its operation with effect from 31 August 2015.

Previous year, Discontinued service segment includes Roomsnet International Ltd, a Company incorporated in the United Kingdom was dissolved following liquidation on 27 July 2016.

4.1 Discontinued Operations

The results of the subsidiaries in the "Services" and "manufacturing footwear" after intercompany eliminations is presented below:

	Footwear 2018 LKR	Total 2018 LKR	Services 2017 LKR	Footwear 2017 LKR	Total 2017 LKR
Revenue	-	-	-	-	-
Cost of Sales	-	-	-	-	-
Other Income	20,914,720	20,914,720	-	21,386,214	21,386,214
Administrative Expenses	(9,958,203)	(9,958,203)	-	(45,992,941)	(45,992,941)
Finance Cost	-	-	-	(1,327,892)	(1,327,892)
Finance Income	2,188,119	2,188,119	-	-	-
Gain on realization of liabilities upon liquidation	-	-	153,224,579	-	153,224,579
Profit/(loss) before tax from discontinued operations	13,144,636	13,144,636	153,224,579	(25,934,619)	127,289,960
Income tax Reversal / (Expenses)	(3,274,547)	(3,274,547)	-	17,686,340	17,686,340
Profit/(Loss) for the year from discontinued operations	9,870,089	9,870,089	153,224,579	(8,248,279)	144,976,300
Profit / (Loss) Attributable to:					
Equity Holders of the Company	11,982,400	11,982,400	121,811,590	(1,735,815)	120,075,775
Non - Controlling Interests	(2,112,311)	(2,112,311)	31,412,989	(6,512,464)	24,900,525
	9,870,089	9,870,089	153,224,579	(8,248,279)	144,976,300
Basic Earnings/ (Loss) per share from Discontinued Operation		0.01			0.12
Diluted Earnings/ (Loss) per share from Discontinued Operation		0.01			0.12
Cash flows					
Net Cash Flows from Operating Activities	(75,618,326)	(75,618,326)	-	(41,587,538)	(41,587,538)
Net Cash Flows used in Investing Activities	8,835,369	8,835,369	-	128,546,845	128,546,845
Net Cash Flows from Financing Activities	-	-	-	(23,266,660)	(23,266,660)
	(66,782,957)	(66,782,957)	-	63,692,647	63,692,647

Roomsnet International Ltd, a Company incorporated in the United Kingdom was dissolved following liquidation on 27 July 2016 in the Company's House United Kingdom. Results of the Company up to the date of dissolution is presented below:

	2018 LKR	2017 LKR
Trade and other receivables	-	(591,691)
Investments	-	(2,680,604)
Interest Bearing Borrowings	-	14,702,509
Trade and other payables	-	129,275,300
Reclassification from other comprehensive income	-	18,261,300
Reclassification from Foreign currency translation Reserve	-	(5,742,234)
Total identifiable Net Assets Liquidated	-	153,224,580
Non-Controlling Interest Derecognised	-	-
Gain on Liquidation	-	153,224,580

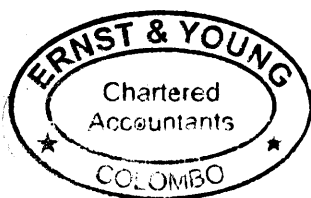
4.2 Asset Classified as Held for Sale

The Board of Directors on the meeting held on 14 October 2015 decided in principle to dispose the land and buildings owned by the Company at Union Place, Colombo 02 subject to obtaining offers from prospective buyers and approval from shareholders. On 1st March 2017, a registered license surveyor segregated the investment property to 3 lots. The Board considered one of the lots to meet the criteria to be classified as held for sale. The Assets and associate liabilities are as follows:

The Asset and the associated liabilities are follows:

	2018 LKR	2017 LKR		2018 LKR	2017 LKR
Assets			Liabilities		
Investment Property (Note 16)	945,070,313	945,070,313	Refundable deposits	3,732,224	3,732,224
Additions	7,706,197	-	Payment made during the year	(3,732,224)	-
Disposal	(952,776,510)	-		-	-
	-	945,070,313		-	3,732,224

During the year Colombo City Holdings PLC disposed the above land and building and received proceed amounting to LKR 1,000,000,000 -.



5. SEGMENTAL INFORMATION

Group	Manufacturing Footwear		Manufacturing Porcelain		Manufacturing Textile		Investment		Property		IT and related Services		Financial Services		Total	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR
Total Revenue	636,698,891	1,398,761,497	2,082,525,521	2,364,252,984	7,744,924,982	6,894,244,210	320,608,238	170,933,219	126,914,228	37,624,126	1,562,444,695	-	114,539,601	102,005,458	12,588,656,155	10,967,821,495
Segment Results Gross Profit (Loss)	(35,886,814)	167,265,566	485,780,370	561,367,746	1,063,202,700	834,755,519	320,608,238	170,933,219	44,716,849	30,621,280	517,797,759	-	104,685,284	90,107,301	2,500,905,084	1,855,050,630
Finance Costs	(13,640,682)	(33,277,923)	(48,493,995)	(38,515,056)	(68,588,493)	(72,963,988)	(651,027,827)	(557,908,474)	(9,402,233)	(10,569,877)	(37,371,125)	-	(1,055,832)	(572,621)	(829,580,187)	(713,807,939)
Change in Fair value of Investment Property	-	-	-	-	-	-	4,000,000	2,000,000	232,834,192	338,400,262	-	-	1,000,000	25,000,000	237,834,192	365,400,262
Profit (Loss) before Income Tax	(310,273,278)	(39,569,931)	(54,407,424)	174,083,679	387,832,863	172,645,841	(377,216,914)	(528,495,312)	315,122,562	305,223,695	283,258,824	-	42,013,479	18,213,384	286,330,112	102,101,357
Income Tax Expense	45,811,837	2,141,167	80,851,294	(34,133,568)	(63,561,715)	(43,727,509)	25,531,321	(28,440,230)	(33,861,960)	(2,018,704)	53,019,246	-	(19,693,425)	(18,990,333)	86,096,598	(125,169,177)
Profit (Loss) after tax for the year from continuing operations	(264,461,441)	(37,428,764)	26,443,870	139,950,111	324,271,148	128,918,332	(351,685,593)	(556,935,542)	279,260,602	303,204,991	336,278,070	-	22,320,054	(776,949)	372,426,710	(23,067,820)
Profit (Loss) after tax for the year from discontinued operations	9,870,089	(8,248,279)	-	-	-	-	-	-	-	-	153,224,579	-	-	-	9,870,089	144,976,300
Profit (Loss) for the year	(254,591,352)	(45,677,043)	26,443,870	139,950,111	324,271,148	128,918,332	(351,685,593)	(556,935,542)	279,260,602	303,204,991	336,278,070	153,224,579	22,320,054	(776,949)	382,296,799	121,908,480
Assets and Liabilities																
Non-Current Assets *	1,565,735,992	1,204,915,199	1,793,728,583	1,392,477,539	2,088,841,885	2,067,263,817	828,030,874	87,039,886	1,634,327,931	1,292,061,977	220,585,139	-	225,619,086	143,999,566	8,356,869,489	6,187,757,783
Current Assets	888,697,455	956,956,459	1,532,372,784	1,441,690,425	3,241,177,927	2,227,263,402	2,327,821,980	1,724,640,402	558,769,505	243,399,301	3,522,836,522	-	120,750,801	210,047,240	12,192,426,974	6,803,997,229
Assets Classified as Held For Sale	-	-	-	-	-	-	-	-	-	-	945,070,313	-	-	-	945,070,313	-
Total assets	2,454,433,448	2,161,871,658	3,326,101,367	2,834,167,964	5,330,019,812	4,294,527,219	3,155,852,854	1,811,680,288	2,193,097,437	2,480,531,590	3,743,421,661	-	346,369,887	354,046,606	20,549,296,463	13,936,825,325
Non-Current Liabilities	327,983,033	95,645,672	680,449,047	615,458,419	617,108,112	686,127,848	841,286,589	9,439,212	59,324,243	1,284,955	92,682,497	-	6,652,303	6,626,839	2,625,485,822	1,414,582,945
Current Liabilities	776,563,991	365,930,052	914,575,580	640,657,956	2,844,755,969	1,731,481,940	3,885,158,531	4,069,609,230	87,582,017	73,098,096	2,915,380,801	-	21,118,314	52,677,533	11,445,133,207	6,933,454,808
Liabilities Directly Associated with Assets Classified as Held For Sale	-	-	-	-	-	-	-	-	-	-	3,732,224	-	-	-	-	3,732,224
Total Liabilities **	1,104,547,024	461,575,724	1,595,024,627	1,256,116,375	3,461,864,081	2,417,609,788	4,726,445,120	4,079,048,442	146,906,260	78,115,275	3,008,063,298	-	27,770,617	59,304,372	14,070,619,028	8,351,769,977

*Segment Non current Assets do not include goodwill, investment in subsidiary and intercompany receivables.

**Segment Liabilities do not include intercompany receivables including loans



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

5.1 Revenue	GROUP		COMPANY	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR
Sale of Goods				
Footwear	636,698,891	1,398,761,497	-	-
Porcelain	2,082,525,521	2,364,252,984	-	-
Textile	7,744,924,982	6,894,244,210	-	-
Stock Broking / Money Broking				
Brokerage Income	114,539,601	102,003,473	-	-
Finance & Investment				
Interest Income	186,678,658	193,913,589	141,541,739	184,901,678
Investment Trading	157,353,800	(100,834,545)	157,353,800	(100,834,545)
Change in Fair Value of Financial Assets Held for Trading	(18,025,885)	83,654,521	(18,025,885)	83,654,521
Services				
IT Services	1,562,444,695	-	-	-
Other				
Rent Income	13,959,133	25,554,239	-	-
Sale of Real State	105,000,000	-	-	-
Gain/ (Loss) on Fair Value of Biological Assets	2,400,000	6,180,000	-	-
Sale of Agriculture Produce	156,760	91,525	-	-
	<u>12,588,656,155</u>	<u>10,967,821,495</u>	<u>280,869,653</u>	<u>167,721,654</u>

6. DIRECT COST

Cost of goods sold	10,075,334,766	9,098,611,862	-	-
Discount on Brokerage	11,578,700	12,931,825	-	-
Broker Fee	328,117	515,849	-	-
Others	509,487	711,329	-	-
	<u>10,087,751,071</u>	<u>9,112,770,865</u>	<u>-</u>	<u>-</u>

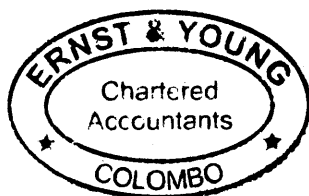
7. INVESTMENT AND OTHER INCOME

Interest Income on Over Due Balances and Deposits	108,265,649	100,147,516	-	-
Brokerage from primary share / debenture issues	10,000	91,253	-	-
Dividend Income	698	709,353	3,422,089	30,759,374
Gain/(Loss) on Sale of Financial Assets held for Trading	1,305,468	(9,872,269)	116,627	-
Gain / (Loss) on Disposal of Property, Plant & Equipment	1,277,631	4,183,554	-	25,000
Interest Income - Staff Loan	900,614	2,090,278	178,383	262,672
Scrap Sales	-	45,527,891	-	-
Other Income	71,519,687	37,034,846	11,221,873	16,164,861
Gain on disposal of Assets Held for Sale	47,223,506	-	-	-
Reversal of Provisions and Write back of Interest Bearing Borrowing:	166,505,185	96,176,752	-	-
	<u>397,008,438</u>	<u>276,089,174</u>	<u>14,938,972</u>	<u>47,211,907</u>

7.1 Reversal of Provisions and Write back of Interest Bearing Borrowings of Rs. 166,505,185 is due to reversal of penalty provision of MIT and 2016/17 includes Short Term Loan write back of LKR 28,309,107/- and over draft write back of LKR 67,867,645/-.

8. FINANCE COST

	GROUP		COMPANY	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR
Loan Interest	449,544,819	342,390,514	274,473,852	298,855,545
Exchange Loss	853,291	67,249	-	-
Bank Overdraft Interest	379,182,077	371,350,176	298,254,353	236,845,194
	<u>829,580,187</u>	<u>713,807,939</u>	<u>572,728,205</u>	<u>535,700,739</u>



NOTES TO THE FINANCIAL STATEMENTS

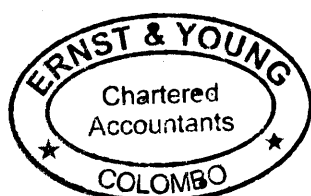
Year ended 31 March 2018

	GROUP		COMPANY	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR
9. PROFIT/ (LOSS) BEFORE TAXATION				
Profit before taxation is stated after charging all expenses including the following:				
Auditors' Remuneration - Statutory Audit	8,080,194	8,015,194	430,000	430,000
Directors' Fee	80,304,179	60,738,262	38,371,800	10,521,707
Professional Fees	79,074,202	32,906,446	1,883,009	10,949,313
Depreciation on Property, Plant and Equipment	340,343,584	330,121,430	289,906	299,673
Amortization of Intangible Assets	12,314,099	8,979,630	-	-
Staff Cost (Note 9.1)	2,625,734,774	1,823,145,033	19,472,004	18,823,610
Allowance for Obsolete & Slow Moving Inventories	81,134,091	27,702,036	-	-
9.1 Staff Cost				
Salaries & Other Related Costs	2,319,624,992	1,610,450,362	16,333,098	15,604,033
Defined Benefit Plan Cost - Retiring Gratuity	62,963,136	50,519,462	727,004	629,911
Defined Contribution Plan Cost - EPF & ETF	243,146,646	162,175,210	2,411,902	2,589,666
	<u>2,625,734,774</u>	<u>1,823,145,033</u>	<u>19,472,004</u>	<u>18,823,610</u>

	GROUP		COMPANY	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR
10. INCOME TAX				
Current Tax Expense	141,270,539	93,615,347	-	-
Under/ (Over) Provision in Respect of Previous Year	14,927,725	31,444,440	-	-
	<u>156,198,265</u>	<u>125,059,787</u>	<u>-</u>	<u>-</u>
Deferred Tax Expenses - (Origination) / Reversals of Temporary Differences (Note 26)	(242,294,863)	109,390	(17,324,614)	141,765
	<u>(86,096,598)</u>	<u>125,169,177</u>	<u>(17,324,614)</u>	<u>141,765</u>
Reconciliation of Accounting Profit to Income Tax Expense				
Profit/(Loss) Before Tax*	299,474,748	229,391,317	413,268,169	(377,926,946)
	<u>299,474,748</u>	<u>229,391,317</u>	<u>413,268,169</u>	<u>(377,926,946)</u>
Income Not Liabie for Income Tax	(698,770,882)	(573,405,541)	(1,021,070,871)	(114,865,165)
Disallowable Expenses	505,473,517	716,628,945	80,682,280	101,916,648
Capital Allowances Claimed & Allowable Expenses	(618,937,397)	(666,197,761)	(285,071)	(930,962)
Business Profit/(Loss)	<u>(512,760,014)</u>	<u>(293,583,040)</u>	<u>(527,405,493)</u>	<u>(391,806,425)</u>
Operating losses incurred during the year	1,304,144,619	493,706,343	-	-
Total Statutory Income	<u>791,384,604</u>	<u>200,123,303</u>	<u>-</u>	<u>-</u>
Interest Income	150,846,419	107,660,661	-	-
Tax loss utilized during the year	(122,126,961)	(34,996,142)	-	-
Qualifying Payments	(14,631,555)	(36,897,894)	-	-
Assessable / Taxable Income	<u>805,472,507</u>	<u>235,889,927</u>	<u>-</u>	<u>-</u>
Income Tax @ 12%	67,351,378	11,151,309	-	-
Income Tax @ 28%	48,219,428	50,128,702	-	-
Income Tax @ 10%	25,699,734	32,335,336	-	-
Taxation on Profit for the Year	<u>141,270,539</u>	<u>93,615,347</u>	<u>-</u>	<u>-</u>
Income Tax Attributable to Discontinued Operations	3,274,547	-	-	-
Income Tax Attributable to Continuing Operations	<u>141,270,539</u>	<u>93,615,347</u>	<u>-</u>	<u>-</u>

*Includes Profit / (Loss) before tax from discontinued operations as disclosed in note 4.

10.1 Tax Losses				
Tax loss brought forward	2,429,022,579	2,090,264,896	794,562,466	586,844,317
Income tax intimation direction / Tax Filing Differences	(23,011,199)	(40,946,414)	-	(14,386,585)
Loss incurred during the year	1,123,751,191	665,049,631	527,359,583	393,533,255
Utilization of tax losses for prior year liabilities	-	(171,428,521)	-	(171,428,521)
Tax losses of discontinued operations	-	(78,920,870)	-	-
Loss utilized during the year	(122,126,961)	(34,996,143)	-	-
Tax loss carried forward	<u>3,407,635,611</u>	<u>2,429,022,579</u>	<u>1,321,922,049</u>	<u>794,562,466</u>



10. INCOME TAX (Contd..)**10.2 Pending Tax matters****10.2.1 Dankotuwa Porcelain PLC**

'As per the BOI agreement No. 261 supplemented by agreement No. 32 & 303 the export profits and income from the "export business" is chargeable to tax at a concessional rate of 12% (2017 - 12%), that from local sales and other business income are chargeable to income tax at 28% (2017 - 28%) under the Inland Revenue Act No 10 of 2006 and subsequent amendments there to.

The Company entered into a supplementary agreement with Board of Investment of Sri Lanka (BOI) on 30 December 2009 whereby the Company has been permitted to maintain the local sales up to twenty percent (20%) of the quantity exported as an average for the cumulative local sales for the period of five (05) years commencing from year 2009 and ending on year 2013 subject to the payment of customs duty and other applicable levies subject to the terms and conditions stipulated in the agreement.

On 30 November 2016 the Company signed the supplementary agreement to convert to Temporary Import and Export Procedure (TIEP scheme) for a period of two years.

10.2.2 Ambeon Holdings PLC

The following tax assessments are outstanding against which the Company has duly appealed;

Income tax for the year of assessment 2011/12 - Assessment No. ITA 14281100043 V1

As per assessment the interest on corporate loans and dividend income which the Company considered as exempted is required to be included as part of the assessable / taxable income. The Company is of the view that the above assessments will not have any material impact on the financial statements.

10.2.3 Lexinton Holdings (Pvt) Ltd

Lexinton Holdings (Pvt) Ltd appealed against the assessment No. ITA14281100120 VI issued by the Department of Inland Revenue relating to the year of assessment 2011/12. The appeal was determined favoring Commissioner General of Inland Revenue by the Commissioner of Large Corporate entities, Audit Unit - 1 and a petition of appeal has been filed with Tax Appeals Commission on 06th April 2017. Having sought professional advice, Management is confident that the grounds for the appeal are strong and as such no liability would arise. Total Tax assessed was Rs.50,787,184/-. Tax appeal commission hearing is still pending.

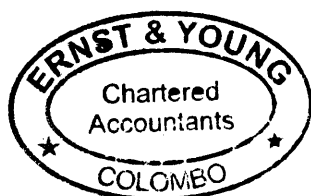
11. EARNINGS / (DEFICIT) PER SHARE**11.1 Basic Earnings / (Deficit) per Share**

The calculation of basic earnings / (deficit) per share is based on the profit / (loss) attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding during the year.

	GROUP		COMPANY	
	2018	2017	2018	2017
<i>For the Year Ended 31st March</i>				
Profit / (Loss) attributable to Ordinary Shareholders (Rs.)	151,541,224	(49,742,653)	430,592,783	(378,068,711)
Weighted Average Number of Ordinary Shares (11.1.1)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Basic Earnings Per Share (Rs.)	0.15	(0.05)	0.43	(0.38)
11.1.1 Weighted Average Number of Ordinary Shares				
Issued Ordinary shares at the beginning of the year	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Weighted average number of ordinary shares at the end of the year	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
11.2 Basic Earnings / (Deficit) per Share for Continuing Operations				
Profit / (Loss) attributable to Ordinary Shareholders from Continuing Operating (Rs.)	139,558,824	(169,818,429)	430,592,783	(378,068,711)
Weighted Average Number of Ordinary Shares (11.1.1)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Basic Earnings Per Share for Continuing Operations (Rs.)	0.14	(0.17)	0.43	(0.38)

Basic earnings / (deficit) per share is calculated for continuing operations by dividing the net profit / (loss) from continuing operations for the year attributable to the ordinary shareholders by the weighted average number of shares outstanding during the year.

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence diluted earnings per share is equal to basic earnings per share.

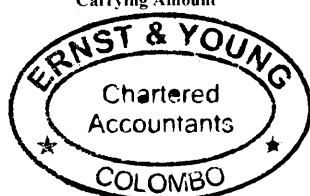


12. PROPERTY, PLANT AND EQUIPMENT

Group								
12.1	Cost or Valuation	Balance as at 01.04.2017	Additions	Revaluation	Acquisition of Subsidiaries	Transfers	Disposals	Balance as at 31.03.2018
		LKR	LKR	LKR	LKR	LKR	LKR	LKR
Freehold								
	Land	1,348,334,498	-	741,174,887	-	(280,917,800)	-	1,808,591,585
	Buildings	945,408,435	11,842,135	67,075,764	-	-	(183,732)	1,024,142,602
	Land Development Cost	67,887,287	-	-	-	-	-	67,887,287
	Computer Equipment	122,985,559	15,456,664	-	313,430,524	-	(13,344,587)	438,528,160
	Furniture & Office Equipment	321,815,678	44,434,193	-	55,666,730	-	(17,864,916)	404,051,685
	Kiln and Kiln Furniture	301,625,420	7,328,007	-	-	2,832,212	(26,345,929)	285,439,710
	Motor Vehicles	125,276,807	-	-	1,140,208	-	(34,924,717)	91,492,298
	Tools & Equipment	2,813,977	279,624	-	-	-	(880,590)	2,213,011
	Plant and Machinery	3,726,812,499	61,016,856	-	36,312,351	7,767,296	(32,163,318)	3,799,745,684
	Waste Water Purification Project	77,627,323	-	-	-	-	-	77,627,323
		<u>7,040,587,482</u>	<u>140,357,479</u>	<u>808,250,651</u>	<u>406,549,813</u>	<u>(270,318,292)</u>	<u>(125,707,789)</u>	<u>7,999,719,343</u>
Leasehold								
	Building	608,488,909	5,373,996	152,812,221	-	11,334,849	(47,309,974)	730,700,001
		<u>608,488,909</u>	<u>5,373,996</u>	<u>152,812,221</u>	<u>-</u>	<u>11,334,849</u>	<u>(47,309,974)</u>	<u>730,700,001</u>
	Capital Work in Progress	<u>94,398,949</u>	<u>50,819,323</u>	<u>-</u>	<u>3,175,632</u>	<u>(22,727,104)</u>	<u>-</u>	<u>125,666,800</u>
	Total	<u>7,743,475,340</u>	<u>196,550,798</u>	<u>961,062,872</u>	<u>409,725,445</u>	<u>(281,710,547)</u>	<u>(173,017,762)</u>	<u>8,856,086,144</u>

Accumulated Depreciation	Balance as at 01.04.2017	Charge for the Year	Revaluation	Acquisition of Subsidiaries	Transfers	Disposals	Balance as at 31.03.2018
	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Freehold							
Buildings	66,974,646	45,771,048	(106,942,533)	-	-	(13,918)	5,789,243
Land Development Cost	48,711,968	3,355,914	-	-	-	-	52,067,882
Computer Equipment	96,142,344	21,373,190	-	285,133,796	-	(12,657,748)	389,991,582
Furniture & Office equipment	258,918,810	20,296,695	-	30,191,545	-	(13,078,625)	296,328,425
Kiln and Kiln Furniture	212,261,586	11,726,146	-	-	-	(25,893,022)	198,094,710
Motor Vehicles	76,221,363	15,347,826	-	1,140,207	-	(25,272,164)	67,437,232
Tools & Equipment	2,327,247	9,027	-	-	-	(880,590)	1,455,684
Plant and Machinery	2,121,683,552	200,416,689	-	24,129,161	-	(26,060,253)	2,320,169,149
Waste Water Purification Project	40,079,617	5,175,155	-	-	-	-	45,254,772
	<u>2,923,321,133</u>	<u>323,471,690</u>	<u>(106,942,533)</u>	<u>340,594,709</u>	<u>-</u>	<u>(103,856,320)</u>	<u>3,376,588,678</u>
Leasehold							
Building	34,997,383	16,871,894	-	-	-	(47,309,974)	4,559,303
	<u>34,997,383</u>	<u>16,871,894</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>(47,309,974)</u>	<u>4,559,303</u>
Total	<u>2,958,318,516</u>	<u>340,343,584</u>	<u>(106,942,533)</u>	<u>340,594,709</u>	<u>-</u>	<u>(151,166,294)</u>	<u>3,381,147,981</u>
Carrying Amount	<u>4,785,156,824</u>						<u>5,474,938,163</u>

Net Book Value	2018 LKR	2017 LKR
Freehold		
Land	1,808,591,585	1,348,334,498
Buildings	1,018,353,359	878,433,789
Land Development Cost	15,819,405	19,175,319
Computer Equipment	48,536,577	26,843,214
Furniture & Office equipment	107,723,260	62,896,868
Kiln and Kiln Furniture	87,345,000	89,363,834
Motor Vehicles	24,055,066	49,055,444
Tools & Equipment	757,327	486,730
Plant and Machinery	1,479,576,535	1,605,128,947
Waste Water Purification Project	32,372,551	37,547,706
Leasehold		
Building	726,140,698	573,491,526
Capital Work in Progress	125,666,800	94,398,949
Carrying Amount	<u>5,474,938,163</u>	<u>4,785,156,824</u>



12. PROPERTY, PLANT AND EQUIPMENT (Continued)

12.1.1 During the financial year the Group acquired Property, Plant & Equipment to the aggregate value of LKR 196,550,798 /- (2017- LKR 213,213,278/-).

12.1.2 Details of Property, plant and equipment pledged for borrowings are disclosed in Note 33.

12.1.3 Revaluation of Land and Building

The Group uses the revaluation model of measurement of land and buildings. The Group engaged qualified independent expert valuer to determine the fair value of its land and buildings.

Details of Group's land, building and other properties stated at valuation are indicated below:

Company	Property	Method of Valuation	Value		Valuers Details	Last Revaluation Date
			2018	2017		
Lexinton Holdings (Pvt) Ltd	Land and Building at Borella	Open Market Value Method	261,000,000	251,000,000	Mr. Sunil Fernando, Independent Chartered Valuer	31 March 2018
Ceylon Leather Products PLC	Land at Mattakkuliya	Market Approach	934,875,000	598,320,000	Mr.Chulananda Wellappili, Independent Incorporated Valuer	31 March 2018
	Buildings at Mattakkuliya	Cost Approach	38,706,025	33,579,500		
	Land at Mattakkuliya	Market Approach	10,500,000	7,500,000	Mr.Chulananda Wellappili, Independent Incorporated Valuer	31 March 2018
	Buildings at Mattakkuliya	Cost Approach	6,030,000	4,824,000		
	Land at Balummahara	Market Approach	144,256,500	113,033,750	Mr.Chulananda Wellappili, Independent Incorporated Valuer	31 March 2018
	Building at Balummahara	Cost Approach	213,868,894	242,785,100		
Dankotuwa Porcelain PLC	Land at Dankotuwa Building at Dankotuwa	Market Approach	409,720,000	341,206,763	Mr.Chulananda Wellappili, Independent Incorporated Valuer	31 March 2018
		Cost Approach	324,461,825	258,116,100		
South Asia Textile Ltd	Building at Pugoda	Income Approach	730,700,000	578,900,000	Mr.Chulananda Wellappili, Independent Incorporated Valuer	31 March 2018
Royal Fernwood Porcelain Ltd	Land at Kosgama Building at Kosgama	Market Approach	184,296,100	226,610,000	Mr.Chulananda Wellappili, Independent Incorporated Valuer	31 March 2018
		Cost Approach	290,929,395	274,098,594		



12. PROPERTY, PLANT AND EQUIPMENT (Continued)

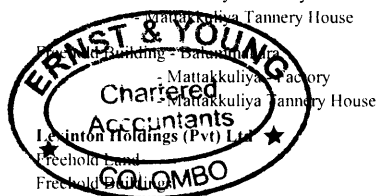
The carrying amount of revalued assets of the Group that would have been included in the financial statements had that been carried at cost less depreciation is as follows:

Class of Asset	Cost LKR	Cumulative Depreciation If assets were carried at cost LKR	Net Carrying Amount 2018 LKR	Net Carrying Amount 2017 LKR
Ceylon Leather Products PLC				
Freehold Land	32,046,453	-	32,046,453	32,046,453
Buildings on Freehold Land	126,026,497	42,637,441	83,389,056	84,856,526
	<u>158,072,950</u>	<u>42,637,441</u>	<u>115,435,509</u>	<u>116,902,979</u>
Dankotuwa Porcelain PLC				
Freehold Land	250,000	-	250,000	250,000
Building - Freehold	165,081,657	91,823,169	73,258,488	82,419,409
	<u>165,331,657</u>	<u>91,823,169</u>	<u>73,508,488</u>	<u>82,669,409</u>
South Asia Textile Ltd				
Building - Leaschold	304,113,567	67,226,597	236,886,969	226,223,323
	<u>304,113,567</u>	<u>67,226,597</u>	<u>236,886,969</u>	<u>226,223,323</u>
Royal Fernwood Porcelain Ltd				
Freehold Land	18,590,108	-	18,590,108	18,590,108
Building - Freehold	16,730,181	880,536	15,849,645	15,893,672
	<u>35,320,289</u>	<u>880,536</u>	<u>34,439,753</u>	<u>34,483,780</u>
Lexinton Holdings (Pvt) Ltd				
Freehold Land	25,911,500	-	25,911,500	25,911,500
Building - Freehold	87,404,426	40,084,430	47,319,996	50,816,173
	<u>113,315,926</u>	<u>40,084,430</u>	<u>73,231,496</u>	<u>76,727,673</u>

12.1.5 Description of Significant Unobservable Inputs to Valuation

The significant assumptions used by the valuer for valuations are follows;

Property	Method of Valuation	Inputs used for measurement	Area	Range	Sensitivity of Fair value to unobservable input
South Asia Textile Ltd Leaschold Buildings	Income Approach	Per sqft. rate	405,430 sq. feet	LKR 12 - 25	Positively correlated
Royal Fernwood Porcelain Ltd Freehold Land	Market Approach	Per perch rate	2,178 Perches	LKR 40,000 - 150,000	Positively correlated
Freehold Buildings	Cost Approach	Per sq.ft. rate	177,630 sq. feet	LKR 300 - 2,800	Positively correlated
Dankotuwa Porcelain PLC Freehold Land	Market Approach	Per perch rate	3,277.76 Perches	LKR 125,000	Positively correlated
Freehold Buildings	Cost Approach	Per sqft. rate	260,015sq. feet	LKR 500 - 4,000	Positively correlated
Ceylon Leather Products PLC Freehold Land - Balummahara	Market Approach	Per perch rate	474 Perches	Rs.150,000 - 400,000	Positively correlated
- Mattakkuliya - Factory	Market Approach	Per perch rate	748 Perches	Rs. 1,250,000	Positively correlated
- Mattakkuliya Tannery House	Market Approach	Per perch rate	6 Perches	Rs. 1,750,000	Positively correlated
- Mattakkuliya Factory	Cost Approach	Per sqft. rate	76,720 sq feet	Rs. 1,400 - 4,700	Positively correlated
- Mattakkuliya Tannery House	Cost Approach	Per sqft. rate	75,010 sq. feet	Rs. 650 - 3,250	Positively correlated
Lexinton Holdings (Pvt) Ltd	Cost Approach	Per sqft. rate	2,010 sq. feet	Rs. 3,750	Positively correlated
Freehold Land	Open Market Method	Per Perch rate	17 Perches	LKR 7 Mn	Positively correlated
Freehold Buildings	Open Market Method	Per Sqft.rate	14,700 Sq.Feet	LKR 125 - 155	Positively correlated



12. PROPERTY, PLANT AND EQUIPMENT (Continued)

12.2 Company

Cost

Freehold

Computer Equipment
Office Equipment
Tools & Equipment
Office Furniture

Total

Accumulated Depreciation

Freehold

Computer Equipment
Office Equipment
Tools & Equipment
Office Furniture

Total

Carrying Amount

Net Book Value

Freehold

Computer Equipment
Office Equipment
Tools & Equipment
Office Furniture

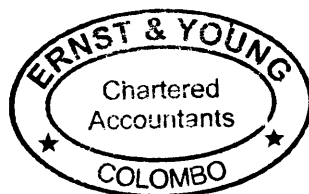
Carrying Amount

Balance as at 01.04.2017 LKR	Additions LKR	Disposals LKR	Balance as at 31.03.2018 LKR
2,635,025	-	(209,500)	2,425,525
239,405	13,500	-	252,905
20,650	-	-	20,650
561,198	25,000	-	526,198
3,396,278	38,500	(209,500)	3,225,278

Balance as at 01.04.2017 LKR	Charge for the Year LKR	Disposals LKR	Balance as at 31.03.2018 LKR
2,114,819	245,021	(209,500)	2,150,340
221,822	11,357	-	233,180
8,983	4,375	-	13,358
353,139	29,153	-	382,292
2,698,764	289,906	(209,500)	2,779,170

697,514	446,108
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2018 LKR	2017 LKR
275,185	520,206
19,725	17,583
7,292	11,667
143,906	148,059
446,108	697,514



13. LEASEHOLD PROPERTY (GROUP)

Balance as at the beginning of the year
Amortization for the year
Disposal During the year
Balance as at the end of the year

	GROUP		COMPANY	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR
	-	25,113,883	-	-
	-	-	-	-
	-	(25,113,883)	-	-
	-	-	-	-

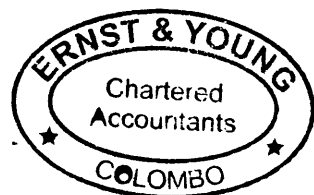
- 13.1 Previous year Group disposed the building together with leasehold right to use the land of Palla & Co. (Pvt) limited for consideration of LKR 142 Million. At the time of disposal the land right had a remaining lease period of 76 years. The operation of Palla & Co. (Pvt) Ltd was presented as a discontinued operation (Note 04).

14. INTANGIBLE ASSETS (GROUP)

	Software		License Fees		Brand Name		Goodwill		Total	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR
<i>As at 31st March</i>										
Cost										
Balance at the beginning of the year	72,745,735	59,131,120	23,243,958	22,161,458	9,723,614	9,723,614	-	-	105,713,307	91,016,192
Business Acquired during the period	-	-	296,296	-	-	-	766,323,679	-	766,619,975	-
Additions during the year	9,948,144	13,614,615	-	1,082,500	-	-	-	-	9,948,144	14,697,115
Capital Work in progress	-	-	-	-	-	-	-	-	-	-
Balance at the end of the year	82,693,879	72,745,735	23,540,254	23,243,958	9,723,614	9,723,614	766,323,679	-	882,281,426	105,713,308
Accumulated Amortization										
Balance at the beginning of the year	24,100,478	15,120,848	-	-	-	-	-	-	24,100,478	15,120,848
Amortized during the year	12,290,397	8,979,630	23,702	-	-	-	-	-	12,314,099	8,979,630
Balance at the end of the year	36,390,875	24,100,478	23,702	-	-	-	-	-	36,414,577	24,100,478
Carrying Amount	<u>46,303,004</u>	<u>48,645,258</u>	<u>23,516,552</u>	<u>23,243,958</u>	<u>9,723,614</u>	<u>9,723,614</u>	<u>766,323,679</u>	<u>-</u>	<u>845,866,849</u>	<u>81,612,830</u>

- 14.1 Goodwill represents the excess of an acquisition over the company's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities at the date of acquisition, and is carried at cost less accumulated impairment losses.

Goodwill is not amortized, but is reviewed for impairment annually and whether there is an indication that goodwill may be impaired. For the purpose of testing goodwill for impairment, goodwill is allocated to the operating entity level, which is the lowest level at which the goodwill is monitored for internal management purpose.



14.2 Impairment of goodwill

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use (VIU). The fair value less costs to sell calculation is based on available data from an active market, in an arm's length transaction, of similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used for extrapolation purposes. The key assumptions used to determine the recoverable amount for the different cash generating units, are as follows;

Gross margins

The basis used to determine the value assigned to the budgeted gross margins/contributions is the gross margins/contributions achieved in the year preceding the budgeted year adjusted for projected market conditions.

Discount rates

The discount rate used is the risk free rate which is the long term bond rate as published by Central Bank of Sri Lanka, adjusted by the addition of an appropriate risk premium.

Inflation

The basis used to determine the value assigned to the budgeted cost inflation, is the inflation rate, based on projected economic conditions as published by Central Bank of Sri Lanka.

Volume growth

Volume growth has been budgeted on a reasonable and realistic basis by taking into account the growth rates of one to four years immediately subsequent to the budgeted year based on Industry growth rates. Cash flows beyond the five year period are extrapolated using 0% growth rate.

Sensitivity to Changes in Assumptions

A 0.5% change in the discount rate does not result in an impairment Loss.

14.3 Software of the group represents Microsoft Office and new ERP system.

14.4

The management identified the brand name of "Royal Fernwood Porcelain Ltd" as an intangible asset with an indefinite useful life arising from business combination. Management is of the opinion that the brand name will be a key attraction in the porcelain sector. The brand name has been tested for impairment along with other intangible assets of the Royal Fernwood Porcelain Ltd Group as further explained under note 14.2

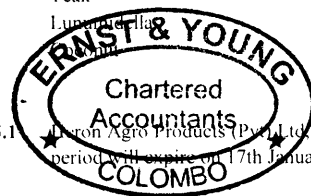
14.5 License fees represents license obtained by Taprobane Securities (Pvt) Ltd from the Colombo Stock Exchange and the license obtained for a Solar Power Project from Sustainable Energy Authority.

15. BIOLOGICAL ASSETS (GROUP)

Balance as at 01.04.2017 LKR	Changes in Fair Value Less - Cost to Sell LKR	Balance as at 31.03.2018 LKR
45,047,620	2,362,380	47,410,000
752,380	37,620	790,000
81,950	-	81,950
45,881,950	2,400,000	48,281,950

Teak

Lumpsum



15.1 Ambeon Agro Products (Pvt) Ltd, subsidiary of the Ambeon Capital PLC has leased out a land from Sri Lanka Mahaweli Authority under Government Land Ordinance for 30 years commencing from 18th January 1993. The lease period will expire on 17th January 2023. However, the lease period could be extended further period 15 years in accordance with the Memorandum of Understanding (MOU) signed between Mahaweli Authority of Sri Lanka.

15. BIOLOGICAL ASSETS (Cotd...)**15.2 Determination of Market Value****Teak**

Market price is mainly obtained from International Market price of Teak Timber, State Timber Corporation and the local market prices. Cost of sawing and other outgoings have been deducted to obtain the net value of sawn timber per mature tree. Value of a cubic feet of teak is assumed to be LKR. 1,700 - LKR. 3,500 (discounted) for the purpose of valuation as at 31st March 2018.

Lunumidella

Market Price of a mature tree is determined based on local market and State Timber Corporation price. Cost of sawing and other outgoing have been deducted to obtain the net value of sawn timber per mature tree. Value of a cubic feet of Lunumidella tree is assumed to be LKR. 360 - LKR. 450 (discounted) for the purpose of valuation as at 31st March 2018.

	2018	2017
Discount Rate	17%	17%

The market related systemic risk factor is taken at 2% - 2.65%, unsystemic risk of 3.5% was subject to the assumed probability. Thus the 3.5% adjustment was assumed with a final adjustment by a premium of 6% to arrive at the discounting rate of 17%.

Methodology

The estimation of value of stumpage in timber stands depends on the age of plantation. These are categorized merchantable and pre merchantable.

The young plantation between age 10-15 are termed pre-merchantable and the other merchantable. Merchantable are valued based on market prices discounted to harvesting DCF Method.

Pre merchantable are valued based on replacement cost basis. The costs are compounded to recognize the return on investment, the compounding rate is the opportunity cost which is taken at Weighted Average Cost of Capital.

Key assumptions

1. The harvesting is approved by the forest Department and other relevant authorities.
2. The prices adopted are net of expenditure.
3. Discount rate is 17%
4. Compounding rate is 15% (assumed WACC)
5. Pre- merchantable are valued on replacement cost basis, compounded at 15%

2016/17 Key assumptions were also same as above.

15.3 Potential Risks Timber Plantations

The Group is exposed to the following risks in relation to timber plantations:

Supply and Demand Risk

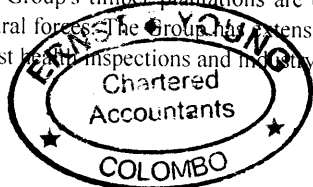
The Group is exposed to risks arising from fluctuations in the price and sales volume of time. When possible, the Group manages this risk by aligning its harvest volume to market supply and demand. Management performs regular industry trend analyses to ensure that the Group's pricing structure is in line with the market and to ensure that projected harvest volumes are consistent with the expected demand identified.

Regulatory and Environmental Risks

The Group is subject to laws and regulations in Sri Lanka. The Group has established environmental policies and procedures aimed at compliance with local environmental and other laws. Management performs regular reviews to identify environmental risks and to ensure that the systems in place are adequate to manage those risks.

Climate and Other Risks

The Group's timber plantations are exposed to the risk of damage from climatic changes, diseases, forest fires and other natural forces. The Group has extensive processes in place aimed at monitoring and mitigating those risks, including regular forest health inspections and monthly pest and disease surveys. -44-

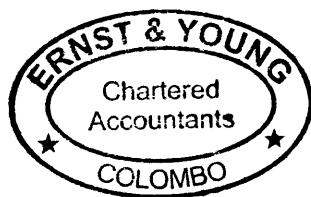


16. INVESTMENT PROPERTIES

	GROUP		COMPANY	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR
Balance at the beginning of the year	1,164,600,686	1,802,670,449	25,000,000	23,000,000
Additions	4,835,475	-	-	-
Transfer from Property plant and equipment	280,917,800	-	-	-
Net gain from fair value adjustments	237,834,192	365,400,263	4,000,000	2,000,000
Impairment of Investment Property (Note 16.1, 16.4)	-	(58,399,713)	-	-
	1,688,188,153	2,109,671,000	29,000,000	25,000,000
Classified as Held For Sale (Note 4.2)	-	(945,070,313)	-	-
Balance at the end of the year	1,688,188,153	1,164,600,686	29,000,000	25,000,000

Name of the Company	Property	Last Valuation	Land Extent	Name of the valuer	Method of Valuation	Carrying Value / Fair Value 2018 LKR	2017 LKR	Fair Value 2018 LKR	2017 LKR
Ambeon Capital PLC	Land (Pidurangala Road, Sigiriya)	3/31/2018	8 Acres	Mr. W. M. Chandrasena Independent Chartered Valuer	Market Value	29,000,000	25,000,000	29,000,000	25,000,000
Taprobane Securities (Pvt) Ltd	Land (Kosgama)	3/31/2018	1,162.35 perches	Mr. W. M. Chandrasena Independent Chartered Valuer	Market Value	80,000,000	79,000,000	80,000,000	79,000,000
Lexinton Resorts (Pvt) Ltd	Land (Hidduruwa, Balapitiya)	3/31/2018	1,373 perches	Sunil Fernando & Associates (Pvt) Ltd Chartered Valuation Surveyors	Market Value	528,600,000	480,500,000	528,600,000	480,500,000
Colombo City Holdings PLC	Land and Buildings (Union Place, Colombo)	3/31/2018	47.2 perches	Mr. S. Sivaskantha, Incorporated Valuer	Open Market Value Replacement Cost	769,670,353	1,525,171,000	769,670,353	1,525,171,000
Dankotuwa Porcelain PLC	Land and Buildings (Dankotuwa)	3/31/2018	3,985.95 perches	Mr. Chulananda Wellappili Independent Chartered Valuer	Open Market Value	210,795,000	-	210,795,000	-
Royal Fernwood Porcelain Ltd	Land (Kosgama)	3/31/2018	1,753.07 perches	Mr. Chulananda Wellappili Independent Chartered Valuer	Open Market Value	70,122,800	-	70,122,800	-
						1,688,188,153	2,109,671,000	1,688,188,153	2,109,671,000

The group uses the fair value model for measurement of investment Property. The group engaged Qualified Independent valuers to determine the fair value of Investment property.



16. INVESTMENT PROPERTIES (Contd..)

16.1 On 4 March 2013, Taprobane Securities (Pvt) Ltd entered in an agreement with an outside party to transfer 2 properties (Ihala Kosgama Village within the Seethawaka Pradeshiya Sabha limits and land situated at Thalagasmune Village within the Pradeshiya Sabha limits of Allawa - Giriulla) as compensation to disputed property previously held by the Company. Under the terms of the agreement, the Company shall not sell, assign or convey the aforesaid lands transferred to the Company until the expiration of the agreement on 05 March 2017.

In the event the dispute is not settled by 05 March 2017, the parties undertake to compensate in full the loss incurred by the Company on the purchase consideration of the Investment Property and commercial interest thereon. Accordingly, the parties have agreed that the possible loss would be compensated by vendors/parties involved so calculated as Rs. 206 Mn as at 05 March 2017.

16.2 Group's Investment Property comprise that of Colombo City Holdings PLC (Located at Union Place), Dankotuwa porcelain PLC and Royal Fernwood Limited, Ambeon Capital PLC, Lexinton Resorts (Pvt) Ltd and Taprobane Securities (Pvt) Limited. Investment properties are stated at fair value, which have been determined on the basis of a market value of land and building. Investment property is appraised in accordance with SLFRS 13, I.KAS 40 and International Valuation Standards. Professional valuation was performed on the investment property as at 31 December 2017 by Incorporated Valuers, the valuation was re-assessed as at 31 March 2018.

16.3 Colombo City Holdings PLC has reported rental income amounting to LKR 9,279,413/- (2017 - LKR 17,013,143/-) from this investment property and incurred direct operating expenses (including repairs and maintenance) amounting to LKR 3,994,642/- (2017 - LKR 4,736,570/-).

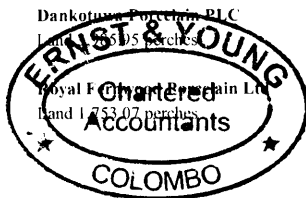
Union Place premises was divided into three lots and Lot No - 02 which was categorized as Asset classified as held for sale was disposed to Vision Care for the consideration of LKR 1 Billion on 23rd of November 2017. Lot No 01 & 03 is being remained as Investment Property in the accounts for the Fair Value of LKR 769 Mn as at 31 March 2018.

16.4 During the year, two of the subsidiaries (Dankotuwa porcelain PLC and Royal Fernwood Limited) transferred some of the land classified under property Plant and Equipment's to investment properties due to the changing the use of the assets.

16.5 Description of significant unobservable inputs to valuation:

The significant unobservable inputs used in the fair value measurement categorised within Level 3 of the fair value hierarchy together with a quantitative sensitivity analysis as at 31 March 2018 and 2017 are as shown below:

Investment Property	Valuation technique	Significant unobservable inputs	Rate 2018	Rate 2017	Sensitivity of input to Fair value
Colombo City Holdings PLC					
Land 47.2 perches (Street line 13.38 Perches)	Open Market value	Per perch rate	LKR 16,000,000 Per Perch	LKR 12,000,000 Per Perch	Positively correlated
-Main Building 28,498.5sqft			-	LKR 6250 per Sqft	Positively correlated
Pharmacy Building 4,344 sqft	Replacement Cost	Per sqft. rate	LKR 4,750 Per Sqft.	LKR 4,750 Per Sqft.	Positively correlated
Mezzanine floor 1,100 sqft	Replacement Cost	Per sqft. rate	LKR 2,000 Per Sqft.	LKR 2,000 Per Sqft.	Positively correlated
Ambeon Capital PLC					
Freehold land 8 Acres	Open Market Method	Per Acre rate	LKR 4,500,000 Per Perch	LKR 3,200,000 Per Perch	Positively correlated
Lexinton Resorts (Pvt) Ltd					
Freehold land 1,373 Perches	Open Market Method	Per perch rate	LKR 385,000 Per Perch	LKR 350,000 Per Perch	Positively correlated
Taprobane Securities (Pvt) Ltd					
Freehold land 1,162.35 Perches	Open Market Method	Per perch rate	LKR 70,000 Per Perch	LKR 68,000 Per Perch	Positively correlated
Dankotuwa Porcelain PLC					
Land 1,125 Perches	Open Market value	Per perch rate	LKR 3,125 - 65,000	-	Postively Correlated
Royal Fernwood Limited					
Land 1,753.07 perches	Open Market value	Per perch rate	LKR 40,000 Per Perch	-	Postively Correlated



17. INVESTMENT IN SUBSIDIARIES

17.1 Investment in subsidiaries

17.1.1 Ordinary shares

	Place of Principal Business	Effective Holdings		Direct Holding		No of Shares		COMPANY	
		2018	2017	2018	2017	2018	2017	2018	2017
<i>As at 31 March</i>		%	%	%	%	Nos.	Nos.	LKR	LKR
Taprobane Investments (Pvt) Ltd	No 10, Gothami Road, Colombo 08.	81.43	100	-	100	-	1,000,000	-	10,600,000
Lexinton Holdings (Pvt) Ltd	No 10, Gothami Road, Colombo 08.	94.80	100	72	72	49,616,300	49,616,300	476,820,829	476,820,829
Heron Agro Products (Pvt) Ltd	No 10, Gothami Road, Colombo 08.	100.00	100	100	100	740,000	740,000	2,960,000	2,960,000
Taprobane Securities (Pvt) Ltd	No 10, Gothami Road, Colombo 08.	81.43	100	-	100	-	5,000,000	-	50,000,000
Taprobane Wealth Plus (Pvt) Ltd	No 10, Gothami Road, Colombo 08.	81.43	100	-	100	-	1,000,000	-	833,333
Taprobane Equities (Pvt) Ltd	No 10, Gothami Road, Colombo 08.	-	100	-	100	-	1,000,000	-	65,000,000
Lexinton Resorts (Pvt) Ltd	No 10, Gothami Road, Colombo 08.	100.00	-	100	-	229,000,000	-	513,416,776	-
Ambeon Holdings PLC (17.1.6)	No 10, Gothami Road, Colombo 08.	81.43	83	81.43	66	290,597,377	290,682,377	4,334,676,415	3,117,647,315

17.1.2 Preference shares

Lexinton Holdings (Pvt) Ltd (17.1.3)	-	560,000,000	-	560,000,000
Taprobane Equities (Pvt) Ltd (17.1.3)	-	893,078,900	-	893,078,900
Impairment on investment- Lexinton Holdings (Pvt) Ltd (17.1.2.1)			5,327,874,020	5,176,940,377
			(178,671,845)	(397,379,317)
			5,149,202,174	4,779,561,060
17.1.2.1 Impairment Provision			(397,379,317)	(397,379,317)
Reversal during the year			218,707,472	-
Impairment on investment			(178,671,845)	(397,379,317)

* As a result of increase of recoverable amount of Lexinton Holdings (Pvt) Ltd as at 31st March 2018 the provision for impairment required decreased. (Net Asset Value as at 31.03.2018 - 410,164,378, as at 31.03.2017 - 138,781,830)

17.1.3 Lexinton Holdings (Pvt) Ltd

During the year company redeemed its preference shares.

Taprobane Equities (Pvt) Ltd

During the year company merged with Ambeon Capital PLC

17.1.4 Disposals of Subsidiary

On 15th February 2018 the Company sold its 03 subsidiaries namely Taprobane Securities (Pvt) Ltd, Taprobane Investments (Pvt) Ltd & Taprobane Wealth Plus (Pvt) Ltd to Taprobane Capital Plus (Pvt) Ltd for a consideration of Rs. 671,345,000 and Recorded a gain of Rs. 609,911,667.00.

17.1.5 On 15th February 2018 company purchased 100% of the issued shares of Lexinton Resorts (Pvt) Ltd for a total consideration of Rs. 513,416,776.00 being the Net Assets Value of Lexinton Resorts (Pvt) Ltd from its subsidiary Lexinton Holdings (Pvt) Ltd.

17.1.6 On 30th November 2017 the Company amalgamated with its wholly owned subsidiary Taprobane Equities (Private) Limited and due to this amalgamation, number of shares invested in Ambeon Holdings PLC increased by 60,305,609. (Ref No 22.1)

17.2 Investments in Sub Subsidiaries

Sub Subsidiaries	Investor	Effective Holding %	Principal Activity	Place of Principal Business
Lexinton Financial Services (Pvt) Ltd	Lexinton Holdings (Pvt) Ltd	94.80	Carrying out Margin Trading	No. 10, Gothami Road, Colombo 08
Ceylon Leather Products PLC	Ambeon Holdings PLC	81.35	Manufacturing and selling of Leather, Leather Footwear and Leather Goods	No.64, Belummahara,Mudungoda
Ceylon Leather Products Distributors (Pvt) Ltd	Ceylon Leather Products PLC	81.35	Retail selling of leather footwear and leather goods	No.64, Belummahara,Mudungoda
South Asia Textiles Ltd	Ambeon Holdings PLC	79.48	Manufacturing and selling of knitted fabrics for the export and local markets	No.70, Felix Dias Bandaranayake Mawatha, Pugoda, Sri Lanka
Palla & Company (Pvt) Ltd	Ambeon Holdings PLC	81.35	Manufacturing shoes for export market - Ceased Operations during the period	Spur Rd. 4, Lot 25B, Katunayake Export Promotion Zone
Dankotuwa Porcelain PLC	Ambeon Holdings PLC	63.12	Manufacturing and selling of porcelain tableware to export and local markets	Factory and the showroom, Kurunegala Road, Dankotuwa
Royal Fernwood Porcelain Ltd	Dankotuwa Porcelain PLC	60.40	Manufacturing and selling of porcelain tableware to export and local markets	Werellamandiya Estate, Police station road, Kosgama
Wankaracera Pvt Ltd	Royal Fernwood Porcelain Ltd	60.40	Manufacturing Decals - No operations during the period	Werellamandiya Estate, Police station road, Kosgama
Wankaracera Pvt Ltd	Royal Fernwood Porcelain Ltd	60.40	Selling of porcelain tableware to domestic market - No operations during the period	Werellamandiya Estate, Police station road, Kosgama
Colombo City Holdings PLC	Ambeon Holdings PLC	54.07	Renting out properties	No.505, Union Place, Colombo 02
Chartered Accountants	Ambeon Holdings PLC	75.85	Engage in networking business solutions - No operations during the period	No 10, Gothami Road, Colombo 08
Taprobane Investments (Pvt) Ltd	Taprobane Capital Plus (Pvt) Ltd	81.43	Money Broking	No. 10, Gothami Road, Colombo 08
Taprobane Securities (Pvt) Ltd	Taprobane Capital Plus (Pvt) Ltd	81.43	Share Broking	No. 10, Gothami Road, Colombo 08
Taprobane Wealth Plus (Pvt) Ltd	Taprobane Capital Plus (Pvt) Ltd	81.43	Corporate Finance	No. 10, Gothami Road, Colombo 08
Taprobane Capital Plus (Pvt) Ltd	Ambeon Holdings PLC	81.43	Investment Management	No. 10, Gothami Road, Colombo 08
Milennium Information Technologies (Pvt) Ltd	Ambeon Holdings PLC	81.43	IT Solutions	48 Sir Marcus Fernando Road, Colombo 07

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

18. OTHER FINANCIAL ASSETS		Group		Company	
		2018 LKR	2017 LKR	2018 LKR	2017 LKR
Non Current Investments					
Held to maturity financial assets	18.1	22,451,836	36,166,883	-	-
		<u>22,451,836</u>	<u>36,166,883</u>	<u>-</u>	<u>-</u>
Current Investments					
Loans & Receivables	18.2	374,997,868	12,480,663	-	-
Financial Assets Held for Trading	18.3	2,034,057,883	1,734,489,325	757,790,604	143,974,190
		<u>2,409,055,751</u>	<u>1,746,969,988</u>	<u>757,790,604</u>	<u>143,974,190</u>
18.1 Held to maturity financial assets					
Investment in Government Securities		22,451,836	36,166,883	-	-
		<u>22,451,836</u>	<u>36,166,883</u>	<u>-</u>	<u>-</u>
18.2 Loans & Receivables					
Current					
Bank Deposits		374,997,868	59,254	-	-
Call Deposit		-	12,421,409	-	-
		<u>374,997,868</u>	<u>12,480,663</u>	<u>-</u>	<u>-</u>
Total Loans & Receivables		<u>374,997,868</u>	<u>12,480,663</u>	<u>-</u>	<u>-</u>
18.3 Financial Assets Held for Trading					
Investment in Equity Securities	18.4	1,276,267,279	1,592,646,485	-	2,131,350
Investment in Government Securities	18.5	757,790,604	141,842,840	757,790,604	141,842,840
		<u>2,034,057,883</u>	<u>1,734,489,325</u>	<u>757,790,604</u>	<u>143,974,190</u>

18.4 Investment in Equity Securities

As at 31st March

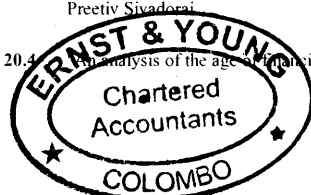
<i>As at 31st March</i>		2018		2017		
	No. of Shares	Cost LKR	Market Value LKR	No. of Shares	Cost LKR	Market Value LKR
GROUP						
Aitken Spence PLC	399	88,785	20,189	399	88,785	22,424
Browns Investments PLC	134,469,935	454,310,883	363,068,825	507,984,600	724,603,762	711,178,440
Browns Capital PLC	-	-	-	7,606,567	43,718,092	11,409,851
Pan Asia Banking Corporation PLC	43,930,641	823,593,973	720,462,512	43,930,641	823,593,973	676,531,871
B P P L Holdings	645,100	7,578,680	8,515,320	1,051,400	12,616,800	12,616,800
Seylan Bank PLC	2,122,122	203,356,714	184,200,190	2,079,160	198,678,604	180,886,920
Ambeon Capital PLC	45	-	243	45	-	180
		<u>1,488,929,035</u>	<u>1,276,267,279</u>		<u>1,803,300,016</u>	<u>1,592,646,485</u>
COMPANY						
Browns Capital PLC	-	-		1,420,900	7,892,000	2,131,350
	-	-			7,892,000	2,131,350

18.5 Investment in Government Securities

	Group		Company	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR
Cost of the portfolio	776,278,201	142,304,551	776,278,201	142,304,551
Change in fair value	(18,487,596)	(461,711)	(18,487,596)	(461,711)
	<u>757,790,605</u>	<u>141,842,840</u>	<u>757,790,605</u>	<u>141,842,840</u>



19. INVENTORIES		Group		Company		
		2018 LKR	2017 LKR	2018 LKR	2017 LKR	
	Raw Material	1,817,822,245	1,166,915,357	-	-	
	Real Estate Stock	-	72,082,832	-	-	
	Work in Progress	780,233,446	325,297,199	-	-	
	Finished Goods	921,538,075	562,749,753	-	-	
	Indirect Material	30,380,247	25,172,165	-	-	
	Spare Stock	31,381,652	33,157,824	-	-	
	Consumables	53,442,313	59,111,300	-	-	
	General Stock	15,889,549	9,984,449	-	-	
	Semi Finished Goods	173,270,980	204,948,771	-	-	
	Packing Material	20,849,063	13,523,575	-	-	
	Others	20,949,387	30,797,315	-	-	
	Less : Allowance for Obsolete & Slow Moving Inventories	19.2 (440,201,391)	(359,067,304)	-	-	
		3,425,555,566	2,144,673,236	-	-	
	Consumables and Spares	105,415,187	102,727,205	-	-	
	Goods Held for resale and maintenance inventory	19.1 81,669,021	-	-	-	
	Goods-In-Transit	145,411,774	160,413,625	-	-	
		3,758,051,548	2,407,814,066	-	-	
	Total Inventories at the Lower of Cost and Net Realizable Value	3,758,051,548	2,407,814,066	-	-	
19.1	Goods held for resale	300,603,810	-	-	-	
	Maintenance Inventory	81,812,466	-	-	-	
		382,416,276	-	-	-	
	Provision for fall in value	19.2 (300,747,255)	-	-	-	
		81,669,021	-	-	-	
19.2	Allowance for Obsolete & Slow Moving Inventories					
		2018 LKR	2017 LKR	2018 LKR	2017 LKR	
	Balance at the beginning of the year	359,067,304	386,769,340	-	-	
	Business Combination	300,747,255	-	-	-	
	Provision/(Reversal) made during the year	81,134,087	(27,702,036)	-	-	
	Balance at the end of the year	740,948,646	359,067,304	-	-	
19.2.1	Details of inventories pledged for borrowings are disclosed in Note 33.					
20. TRADE AND OTHER RECEIVABLES						
		2018 LKR	2017 LKR	2018 LKR	2017 LKR	
	Trade Receivables	4,310,265,134	1,634,519,522	19,486,824	17,391,249	
	Provision for Bad and Doubtful Debts (Note 20.2)	(1,068,813,663)	(224,642,992)	(19,289,094)	(17,205,708)	
		3,241,451,471	1,409,876,531	197,730	185,541	
	Loans Granted (Note 20.1)	131,211,224	95,272,102	678,741	678,741	
	Other Receivables	347,169,300	161,180,369	40,975,520	1,053,155	
	Other Receivables - Related Parties (Note 20.3)	42,690,109	36,633,584	60,734,793	38,505,172	
	Provision for Bad and Doubtful Debts (Note 20.2)	(37,583,933)	(90,191,180)	-	-	
		3,724,938,172	1,612,771,406	102,586,785	40,422,608	
	Deposits, Advances and Prepayments	284,717,516	188,767,230	2,178,770	5,422,640	
		4,009,655,688	1,801,538,636	104,765,555	45,845,248	
20.1	Loans Granted					
	Loans Granted - Individuals	66,315,749	69,811,186	-	-	
	Loans Granted - Institutions	66,855,666	27,421,107	1,191,674	1,191,674	
	Provision for Bad and Doubtful Debts	(1,960,191)	(1,960,191)	(512,933)	(512,933)	
		131,211,224	95,272,102	678,741	678,741	
20.2	Provision for Bad and Doubtful Debts					
	Balance as at the beginning of the year	314,834,172	530,622,567	17,205,708	16,134,920	
	Business Combination	765,993,544	-	-	-	
	Provision/(Reversal) made during the year	25,569,882	55,739,062	2,083,386	1,070,788	
	Written off	-	(271,527,458)	-	-	
	Balance at the end of the year	1,106,397,596	314,834,172	19,289,094	17,205,708	
20.3	Amounts Due From Related Parties					
	Relationship					
	Roshan Antony	Group Director	1,671,586	1,185,429	-	-
	Heron Agro Products (Pvt) Ltd	Subsidiary	-	-	45,761,087	38,505,172
	Ambeon Holdings PLC	Subsidiary	-	-	14,973,706	-
	Murali Prakash	Group MD	27,077,938	25,448,155	-	-
	Preetiv Sivadorai	Group Director	13,940,586	10,000,000	-	-
			42,690,109	36,633,584	60,734,793	38,505,172



21. CASH AND CASH EQUIVALENTS	Group		Company	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR
Cash at Bank	1,015,749,345	291,017,493	332,368	66,750
Cash in Hand	40,000	135,000	40,000	40,000
Short Term Investments	983,397,792	524,263,765	-	-
	1,999,187,137	815,416,259	372,368	106,750
Bank Overdrafts used for cash management purposes	(2,760,999,591)	(3,400,050,468)	(2,010,095,205)	(1,866,685,610)
Cash & Cash Equivalents in the statement of cash flow	(761,812,454)	(2,584,634,209)	(2,009,722,837)	(1,866,578,860)

22. STATED CAPITAL	Group		Company	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR
Issued Capital				
1,002,724,815 Ordinary Shares issued & fully paid	1,053,643,405	1,053,643,405	1,053,643,405	1,053,643,405

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

22.1 Amalgamation Reserve

Ambeon Capital PLC obtained a certificate of amalgamation from the Registrar of Companies to amalgamate its wholly owned subsidiary, Taprobane Equities (Private) Limited (TEL) with effective from 30 November 2017. The effect of this amalgamation is given below

Assets and liabilities of Taprobane Equities (Private) Limited as at 30 November 2017

	LKR
Assets	
Investment in Ambeon Holdings PLC	1,217,029,100
Cash and Cash Equivalents	34,492
	<u>1,217,063,592</u>
Liabilities	
Preference shares	893,078,900
Trade and Other Payables	64,429
	<u>893,143,329</u>
	323,920,263
	<u>65,000,000</u>
Investment in subsidiary - TEL	<u>258,920,263</u>
Transferred to amalgamation reserve	

23. INTEREST BEARING LOANS AND BORROWINGS	Group		Company	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR
Repayable after one year				
Loans from Non-Financial Institutions 23.1	316,919,661	300,718,756	-	-
Finance Leases 23.2	17,491,528	20,891,528	-	-
Bank Loans 23.3	1,227,610,805	591,861,275	-	-
	<u>1,562,021,994</u>	<u>913,471,560</u>	<u>-</u>	<u>-</u>
Repayable within one year				
Loans from Non-Financial Institutions 23.1	4,226,399	4,835,547	4,226,399	4,835,547
Finance Leases 23.2	3,400,000	1,191,679	-	-
Short Term Loan 23.5	2,254,332,825	1,092,848,230	-	-
Bank Loans 23.3	2,199,411,811	728,727,692	986,552,219	431,045,313
Loans granted by Related Parties 23.4	4,638,140	4,421,637	644,886,349	1,028,578,453
Bank Overdrafts	2,760,999,591	3,400,050,468	2,010,095,205	1,866,685,610
	<u>7,227,008,765</u>	<u>5,232,075,251</u>	<u>3,645,760,172</u>	<u>3,331,144,923</u>
	<u>8,789,030,760</u>	<u>6,145,546,810</u>	<u>3,645,760,172</u>	<u>3,331,144,923</u>

23.1	Loans from Non-Financial Institutions	As at 01.04.2017 LKR	Obtained LKR	Repayments LKR	Interest payable LKR	As at 31.03.2018 LKR	
	Repayable after one year GROUP						
	Browns Investments PLC	23.1.1	74,223,918	-	-	3,998,735	78,222,653
	S.F.L. Services (Pvt) Ltd.	23.1.1	79,518,959	-	-	4,284,000	83,802,959
	Browns & Company PLC	23.1.1	146,975,879	-	-	7,918,170	154,894,049
			<u>300,718,756</u>	<u>-</u>	<u>-</u>	<u>16,200,905</u>	<u>316,919,661</u>
	Repayable within one year GROUP						
	ASR Holdings (Pvt) Ltd	23.1.1	4,835,547		(975,000)	365,852	4,226,399
			<u>4,835,547</u>	<u>-</u>	<u>(975,000)</u>	<u>365,852</u>	<u>4,226,399</u>
	COMPANY						
	ASR Holdings (Pvt) Ltd		4,835,547		(975,000)	365,852	4,226,399
			<u>4,835,547</u>	<u>-</u>	<u>(975,000)</u>	<u>365,852</u>	<u>4,226,399</u>



Interest

10%
6%
6%
6%

Repayments Terms

on demand
By way of a "debt Novation Agreement"
By way of a "debt Novation Agreement"
By way of a "debt Novation Agreement"

23. INTEREST BEARING LOANS AND BORROWINGS (Contd.)

23.2 Finance Leases

	As at 31.03.2017 LKR	New Lease LKR	Repayment LKR	As at 31.03.2018 LKR
Board of Investment of Sri Lanka	37,400,000	-	(3,400,000)	34,000,000
Gross Liability	37,400,000	-	-	34,000,000
Gross Liability	37,400,000	-	-	34,000,000
Finance Charges allocated to future periods	(15,316,793)	-	-	(13,108,472)
Net liability	22,083,207	-	-	20,891,528

Security: Absolute ownership of the assets under lease will be with the lessor till the expiration of the lease period.

23.2.1 This represents finance lease arrangement between Board of Investment of Sri Lanka and South Asia Textile Ltd. Which has remaining lease of 36 years.

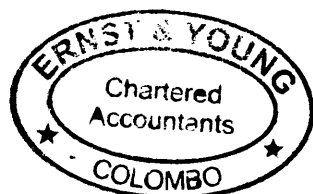
	As at 01.04.2017 LKR	Business Acquisition LKR	Loans Obtained LKR	Repayment LKR	Accrued Interest LKR	Exchange Gain / Loss LKR	As at 31.03.2018 LKR
23.3 Bank Loans							
GROUP							
National Development Bank PLC - Revolving Loan	304,611,549	-	1,047,868,501	(1,081,048,926)	40,822,668	-	312,253,792
Seylan Bank PLC	126,433,764	-	166,277,450,000	(165,794,650,849)	65,065,512	-	674,298,427
Pan Asia Bank PLC	-	-	5,360,000,000	(5,372,482,177)	12,482,177	-	-
Hatton National Bank PLC - Term loan USD	154,527,076	-	-	(19,998,500)	-	(3,803,680)	130,724,896
Hatton National Bank PLC	37,870,227	-	-	(2,571,485)	-	-	35,298,742
Bank of Ceylon-Term Loan	5,002,696	-	-	(5,002,696)	-	-	-
National Development Bank PLC Term Loan (FCBU)	10,930,235	-	-	(11,008,612)	-	78,377	-
Sampath Bank - Term Loan (FCBU)- TL 03	105,594,292	-	-	(54,258,262)	-	1,721,235	53,057,265
People's Bank- Import loan	553,181,484	-	-	(123,183,120)	-	10,871,320	440,869,684
People's Bank- Packing loan	22,437,645	-	-	-	-	-	22,437,645
HSBC - Import loan	-	824,578,467	-	(560,666,319)	-	-	263,912,148
HNB - import loan USD	-	-	6,756,131	-	-	-	6,756,131
HNB - Packing loan	-	-	70,805,945	(31,181,870)	-	1,212,308	40,836,383
Seylan Bank - Term 1	-	-	1,200,000,000	(293,224,246)	93,224,246	-	1,000,000,000
Seylan Bank - Term 2	-	-	300,000,000	(10,466,877)	10,466,877	-	300,000,000
PABC - Short Term Loan	-	-	184,030,500	(48,421,425)	-	1,275,506	136,884,581
People's Bank- Import loan	-	-	85,117,819	(79,191,965)	-	-	5,925,854
People's Bank- Packing loan	-	-	51,581,251	(49,017,683)	-	1,203,500	3,767,068
	1,320,588,968	824,578,467	174,583,610,147	(173,536,375,012)	222,061,480	12,558,566	3,427,022,616
Repayable after one year	591,861,275	-	-	-	-	-	1,227,610,805
Repayable within one year	728,727,692	-	-	-	-	-	2,199,411,811
COMPANY							
National Development Bank PLC - Revolving Loan	304,611,549	-	1,047,868,501	(1,081,048,926)	40,822,668	-	312,253,792
Seylan Bank PLC	126,433,764	-	166,277,450,000	(165,794,650,849)	65,065,512	-	674,298,427
Pan Asia Bank PLC	-	-	5,360,000,000	(5,372,482,177)	12,482,177	-	-
	431,045,313	-	172,685,318,501	(172,248,181,952)	118,370,357	-	986,552,219
Repayable after one year	-	-	-	-	-	-	-
Repayable within one year	431,045,313	-	-	-	-	-	986,552,219



23. INTEREST BEARING LOANS AND BORROWINGS (Contd..)

23.3.1 Terms and Conditions

Company	Lender/rate of interest (p.a.)	2018	2017	Repayment	Security
Ambeon Capital PLC	National Development Bank PLC - 14.95%	312,253,793	304,611,549	180 Days revolving loan	Primary mortgage over freehold commercial property in plan No. 184/2001 situated at No.10, Gothami Road, Colombo-Related treasury bond
	Seylan Bank PLC - 9%	674,298,423	126,433,764	Due on accepted date	
Royal Fernwood Porcelain Ltd	Hatton National Bank PLC				
	- Term loan USD (LIBOR + 5.25%)	130,724,896	154,527,076	83 Equal monthly Instalments of Rs. 14,473 -	Primary mortgage bond over immovable property in the factory at Kosgama
	- Term loan LKR (AWPLR + 2.0% p.a.)	35,298,742	15,978,480	83 Equal monthly Instalments of Rs. 235,490	
	- Packing Credit loan (AWPLR+2%)	40,836,383	15,960,467	Settlements Trough sales proceeds	
	- Import loan (AWPLR+2%)	6,756,134	5,931,277	Settlements Trough sales proceeds	
	People's Bank				
	- Packing Credit Loan	26,204,712	22,437,646	90 days from the loan granted	Title of goods shipped and indemnity of the company
	(Sight : commission of 0.25%)				
	(Usance : commission of 0.325%)				
	- Import loan (AWPLR + 2.0% to 4%)	27,142,338	21,216,485	90 days from the loan granted	Corporate guarantee of Parent company - Ambeon Holdings PLC
South Asia Textile Limited	National Development Bank Term Loan				
	Term loan - 1 (6 Month LIBOR + 6.45%)	-	10,930,235	Monthly LKR 998,574.30	Machineries, Leasehold Building and Inventory
	Term loan - 2 (LIBOR + 6.08%)	-	-	Monthly 3,642,789.92	
	Sampath Bank PLC				
	Term loan - 3 (4 % p.a + 3 Months LIBOR with a Floor rate of 4.75% p.a.)	53,057,266	74,041,169	Monthly LKR 1,895,208	
	Term loan - 4 (4.5% p.a + 3 Months LIBOR with a Floor rate of 4.75% p.a.)	-	31,553,124	Monthly LKR 2,766,218	
People's Bank					
	- Term loan - 5 (4.5% p.a + 6 Months LIBOR with a Floor rate of 5.25% p.a.)	419,653,200	531,965,000	Monthly LKR 11,358,800	
Dankotuwa Porcelain PLC	Bank of Ceylon				
	- Term Loan (AWPLR+2.5% additional 4% p.a for overdue)	-	5,002,696	48 monthly installments	Mortgage over machinery
				Maximum 4 months	
	- Packing Credit Loan (3 months LIBOR +4% p.a for overdue)	-	-		Floating hypothecation over stocks and book debts of the company
PABC					
	- Short Term Loan	136,884,581	-	3 months LIBOR +4.0% subject to minimum of 4.25% p.a	Mortgage bond for US \$ 1,000,000 over stocks and book debts for the value of 1.5 times of the facility.
Ambeon Holdings PLC	Seylan Bank				
	Term loan 1 (01M AWPLR + 2.5%)	1,000,000,000	-	12 quarterly equal installments of LKR 100 Mn each	Quoted Shares
	Term loan - 2 (01M AWPLR + 3.0%)	300,000,000	-	12 quarterly equal installments of LKR 25 Mn each	
Millennium Information Technologies (Pvt) Ltd	HSBC				
	Import Finance loan (Tenor linked COF+2.5% per annum)	263,912,148	-	Within 180 Days	Letter of Guarantee from Seylan Bank PLC



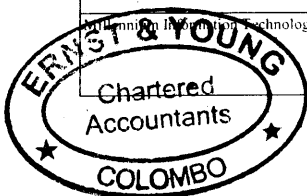
23. INTEREST BEARING LOANS AND BORROWINGS (Contd.)

As at 31st March

	Interest rate	Repayments Terms	Group		Company	
			2018	2017	2018	2017
			LKR	LKR	LKR	LKR
23.4 Loans Payable to Related Parties						
Mr.Eric Wikramanayake	13.93%	On Demand	4,638,140	4,421,637	-	-
Taprobane Investments (Pvt) Ltd	11.50%	On Demand	-	-	65,578,432	54,608,126
Taprobane Securities (Pvt) Ltd	13.00%	On Demand	-	-	178,918,109	72,023,925
Lexinton Holdings (Pvt) Ltd	11.50%	On Demand	-	-	122,523,663	134,262,041
Taprobane Wealth Plus (Pvt) Ltd	11.50%	On Demand	-	-	3,557,944	4,696,222
Taprobane Equities (Pvt) Ltd	0.00%	On Demand	-	-	-	31,882
Ceylon Leather Products PLC	13.00%	On Demand	-	-	122,074,918	107,165,714
Colombo City Holdings PLC	13.00%	On Demand	-	-	152,233,283	20,110,818
Ambeon Holdings PLC	15.00%	On Demand	-	-	-	635,679,725
			<u>4,638,140</u>	<u>4,421,637</u>	<u>644,886,349</u>	<u>1,028,578,453</u>
Repayable after one year			-	-	-	-
Repayable within one year			4,638,140	4,421,637	644,886,349	1,028,578,453
					Group	Company
23.4.1 Balance as at 01.04.2017					4,421,637	1,028,578,453
Loan Obtained					-	385,792,771
Loan Repayment					-	(913,836,617)
Accrued Interest					216,503	144,351,745
Balance as at 31.03.2018					4,638,140	644,886,349

	As at 01.04.2017 LKR	Loans Obtained LKR	Repayment LKR	Exchange Gain/ Loss LKR	Accrued Interest LKR	As at 31.03.2018 LKR
23.5 Short Term Loans						
GROUP						
Bank of Ceylon	58,678,489	171,778,099	(112,783,289)	-	-	117,673,299
Hatton National Bank PLC	53,805,161	183,856,269	(80,549,299)	-	-	157,112,131
Peoples' Bank - short term loan	31,307,371	621,515,137	(423,652,026)	-	-	229,170,482
Peoples' Bank - Trust Receipt Loans	279,680,771	1,785,174,887	(1,877,767,002)	7,976,079	-	195,064,735
Seylan Bank PLC - Revolving Import Loans -	-	921,935,670	(425,969,973)	-	-	495,965,697
Nations Trust Bank PLC - Revolving Import Loans	269,376,439	2,209,640,924	(2,394,633,284)	4,894,287	-	89,278,366
Seylan Bank PLC - Revolving Loan	400,000,000	-	(410,863,996)	1,908,506	25,969,973	17,014,483
Import Export Finance Loan - DFCC Vardhana Bank	-	581,753,794	(489,146,375)	3,446,213	-	96,053,632
Seylan - Short term Loan	-	857,000,000	-	-	-	857,000,000
	<u>1,092,848,231</u>	<u>7,332,654,779</u>	<u>(6,215,365,243)</u>	<u>18,225,085</u>	<u>25,969,973</u>	<u>2,254,332,825</u>
	<u>1,092,848,231</u>					<u>2,254,332,825</u>

23.5.1	Company	Lender/rate of interest (p.a.)	2018	2017	Repayment	Security
	South Asia Textile Ltd	People's Bank - Trust Receipt Loans (3 % p.a + 3 months LIBOR with a Floor rate of 4.25% p.a.)	195,064,735	279,680,771	At maturity bills should be retired by borrower's own funds or from STL proceeds.	Machineries, Leasehold Building and Inventory were pledged as security.
		Seylan Bank Revolving Import Loans (3 months LIBOR + 3.5% p.a.)	512,980,180	-	Repaid within a period of 150 days	Machineries, Leasehold Building and Inventory were pledged as security.
		NTB p.a + 3 months LIBOR with a Floor rate of 3.25% p.a.)	89,278,366	269,376,439	60 monthly equal instalments	Machineries, Leasehold Building and Inventory were pledged as security.
		DFCC Vardhana Bank - Import Export Finance Loan (3 months LIBOR + 3.5% p.a.)	96,053,632	-	48 monthly equal instalments	Machineries, Leasehold Building and Inventory were pledged as security.
	Ceylon Leather Products PLC	Peoples Bank - STL (AWPLR+2% p.a)	229,170,483	31,307,371	within a period of 150 days	Mortgage over Land, building and Immovable Machinery at Mattakulya
		Hatton National Bank PLC - STL (AWPLR -2.5% p.a)	157,112,131	53,805,161	within a period of 150 days	Mortgage over Land, building and Immovable Machinery at Mattakulya
		Bank of Ceylon - STI (AWPLR+1.75% p.a)	117,673,298	58,678,489	within a period of 120 days	Series of loan agreement and Mortgage over stocks and receivables
	Ambeon Holdings PLC	Seylan Bank PLC - Revolving Loan (01M AWPLR)	-	400,000,000	12 months	Quoted shares
	Ambeon Information Technologies (pvt) Limited	Seylan Bank PLC - One month AWPLR + 2% per annum	857,000,000	-	Bullet Payment (interest to be serviced monthly)	Corporate guarantee from Ambeon Holding PLC
			<u>2,254,332,825</u>	<u>1,092,848,231</u>		



		Group		Company	
		2018 LKR	2017 LKR	2018 LKR	2017 LKR
24. RETIREMENT BENEFIT OBLIGATION					
Present value of unfunded gratuity		410,048,970	260,078,371	4,615,058	3,888,054
		<u>410,048,970</u>	<u>260,078,371</u>	<u>4,615,058</u>	<u>3,888,054</u>
24.1 Provision for Retiring Gratuity					
Balance at the beginning of the year		260,078,371	267,157,530	3,888,054	4,550,643
Current service cost	24.2	30,830,872	25,792,829	424,400	402,935
Interest cost	24.2	32,132,264	24,726,633	466,566	455,064
Actuarial losses/(gains)	24.3	32,800,239	(22,990,329)	(163,962)	(228,088)
Business acquisitions during the year		89,636,996	-	-	-
Amounts Payable		-	(627,000)	-	(627,000)
Payment made during the year		(35,677,973)	(33,981,292)	-	(665,500)
Transfers		248,201	-	-	-
Balance at the end of the year		<u>410,048,970</u>	<u>260,078,371</u>	<u>4,615,058</u>	<u>3,888,054</u>
24.2 Expenses recognized in Compressive Income					
Current service cost		30,830,872	25,792,829	424,400	402,935
Interest cost		32,132,264	24,726,633	466,566	455,064
		<u>62,963,136</u>	<u>50,519,462</u>	<u>890,966</u>	<u>857,999</u>
24.3 Expenses recognized in Other Compressive Income					
Actuarial losses/(gains)		32,800,239	(22,990,329)	(163,962)	(228,088)
		<u>32,800,239</u>	<u>(22,990,329)</u>	<u>(163,962)</u>	<u>(228,088)</u>
24.4	The cost of gratuity is determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, staff withdrawals, and mortality rates. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, the defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.				
24.5 Principal actuarial assumptions used are as follows :				2018	2017
(i) Rate of interest				10%	12%
(ii) Rate of salary increment				7.5% - 10%	8% - 10%
(iii) Staff turnover factor (as a %)				5% - 10%	5% - 10%
(iv) The Company will continue as a going concern					
24.6 Sensitivity Analysis					
Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would affected the defined benefit obligation by the amounts shown below.					
		Group		Company	
		2018 LKR	2017 LKR	2018 LKR	2017 LKR
Discount Rate - (1% Increase)		(25,499,223)	(11,844,786)	(404,490)	(361,906)
- (1% Decrease)		27,885,691	12,966,049	453,985	407,954
Salary Increment Rate - (1% Increase)		28,084,184	14,356,313	488,426	434,912
- (1% Decrease)		(14,810,464)	(13,323,451)	(439,830)	(390,015)
24.7 Maturity Profile of the Defined Benefit Plan					
		Group		Company	
		2018 LKR	2017 LKR	2018 LKR	2017 LKR
Within Next 12 Months		62,879,949	44,879,374	29,761	21,701
Between 1 - 2 Years		67,967,490	33,713,524	-	-
Between 2 - 5 Years		100,638,380	61,750,727	194,158	145,241
Between 5- 10 Years		103,303,666	107,978,814	4,391,139	3,721,112
Beyond 10 years		75,259,485	11,755,932	-	-
		<u>410,048,970</u>	<u>260,078,371</u>	<u>4,615,058</u>	<u>3,888,054</u>



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

	Group	Company
25 DEFERRED INCOME		
25.1 Deferred Income -Grant		
	2018	2017
	LKR	LKR
Balance at the beginning of the year	387,745	810,745
Amortization for the year	(387,745)	(423,000)
Balance at the end of the year	-	387,745

The Waste Water treatment project of Dankotuwa Porcelain PLC was completed on March 2008 & it is capitalized under the relevant classification of Property, Plant & Equipment. Hence corresponding grant component is reflected under Deferred Income -Grant is amortized over the useful life of (10 years), which is the estimated life of the asset.

25.2 Deferred Income -Service Agreements	2018	2017
	LKR	LKR
Balance at the beginning of the year	-	-
Business Acquisition	506,418,642	-
Deferred During the year	1,003,611,016	-
Transferred to revenue during the year	(771,257,634)	-
Derecognized during the year	9,378,472	-
Balance at the end of the year	748,150,496	-

Revenue from deferred income is recognized by periodically throughout the service agreement period entered between Millennium Information Technologies (Pvt) Ltd and service clients.

	Group		Company	
	2018	2017	2018	2017
	LKR	LKR	LKR	LKR
26. DEFERRED TAX				
Deferred Tax Asset				
Balance as at the beginning of the year	71,588,610	78,657,354	991,831	1,197,460
Business Acquisition	91,839,883	-	-	-
Recognized in profit or loss	112,776,412	(5,339,518)	17,324,614	(141,764)
Recognized in other comprehensive income	(230,058)	(1,729,226)	(45,909)	(63,865)
Business Disposal	(1,614,715)	-	-	-
Balance as at the end of the year	274,360,132	71,588,610	18,270,536	991,831
Deferred Tax Liability				
Balance as at the beginning of the year	239,772,085	250,823,140	-	-
Recognized in profit or loss	(129,602,226)	(5,230,129)	-	-
Recognized in other comprehensive income	510,518,046	11,865,415	-	-
Business Disposal	(208,685)	-	-	-
Assets classified as held for sale (Note 4)	-	(17,686,340)	-	-
Balance as at the end of the year	620,479,220	239,772,085	-	-
Net Differed Tax Asset / (Liability)	(346,119,088)	(168,183,476)	18,270,536	991,831
Transfer from/(to) Statement of Profit or Loss				
Transfer from accelerated depreciation and others	242,294,863	(109,389)	17,324,614	(141,764)
	242,294,863	(109,389)	17,324,614	(141,764)
Transfer from/(to) Other Comprehensive Income				
Tax on Revaluation Gain	(519,300,584)	(7,485,531)	-	-
Employee Benefit Liability	8,636,253	(6,109,110)	(45,910)	(63,865)
	(510,664,331)	(13,594,641)	(45,910)	(63,865)
Composition of deferred tax assets/ (liabilities) as follows;				
Property, Plant and Equipment	(363,741,201)	(280,099,428)	(73,208)	(96,824)
Retirement Benefit Obligation	102,078,383	49,974,946	1,292,216	1,088,655
Revaluation of Land and Building to Fair Value	(639,733,674)	(166,492,287)	(200,000)	-
Losses available for offset against future Taxable Income	390,309,945	176,801,170	-	-
Others*	164,967,459	51,632,123	17,251,528	-
	(346,119,088)	(168,183,476)	18,270,536	991,831

The above deferred tax asset arising from carried forward tax losses and Employee benefit liability has been determined based on a financial budget approved by senior managements to the extent of sufficient taxable profit are available.

The above deferred tax arising from timing difference of depreciation, impairment of debtors, unutilized portion of carried forward tax losses and gratuity. The deferred tax arising from the unused tax losses amounting to LKR 842 million has not been recognised as the management is not certain whether there will be sufficient taxable profit to utilized the same.

*Others represent Deferred Tax Asset recognised on provision for debtors, provision for inventory and share based payment provision.



		Group		Company	
		2018 LKR	2017 LKR	2018 LKR	2017 LKR
27. TRADE AND OTHER PAYABLES					
Trade Payables		2,728,084,840	996,312,197	-	-
Other Payables		267,037,028	231,883,294	-	-
Other Payables - Related Parties		-	377,569	-	-
Employee Share Appreciation Rights (ESAR)	28.2	29,574,048	-	29,574,048	-
Accrued & Other Payables		267,648,204	420,158,100	1,886,559	4,801,758
		<u>3,292,344,120</u>	<u>1,648,731,159</u>	<u>31,460,607</u>	<u>4,801,758</u>

28. OTHER FINANCIAL LIABILITIES

Preference Shares	28.1	897,086	873,146	-	-
Employee Share Appreciation Rights (ESAR)	28.2	32,038,552	-	32,038,552	-
		<u>32,935,638</u>	<u>873,146</u>	<u>32,038,552</u>	<u>-</u>

		No. of Shares	Group		Company	
			Carrying Value 2018 LKR	Carrying Value 2017 LKR	Carrying Value 2018 LKR	Carrying Value 2017 LKR
28.1 Preference Shares						
Financial Liabilities at amortised cost						
Preference Shares		170,625	897,086	873,146	-	-
			<u>897,086</u>	<u>873,146</u>	<u>-</u>	<u>-</u>

28.2 Employee Share Appreciation Rights (ESAR)

Group CEO receives benefits in the form of Share based payments, whereby, he renders services to increase performance of the Group. Liability is recognized for the fair value of cash settled transactions. The fair value is measured initially and at each reporting date up to and including the settlement date, with changes in fair value recognized in employee benefit expense. The fair value is expensed over the period until the vesting date with recognition of a corresponding liability. The fair value is determined using the binomial model.

ESAR will carry variable & fixed component ESAR plan. Fixed component of shares will not depend on the achievement of any pre-determined performance target. The variable component will offer 5,000,000 shares per annum for 4 years commencing from the financial year 2017/18.

Granting of the variable ESAR will be dependent on the achievement of pre-determined performance target.

Movement In the Year

	Group				Company			
	Repayable after one year 2018 LKR	Repayable after one year 2017 LKR	Repayable within one year 2018 LKR	Repayable within one year 2017 LKR	Repayable after one year 2018 LKR	Repayable after one year 2017 LKR	Repayable within one year 2018 LKR	Repayable within one year 2017 LKR
Outstanding at the beginning of the year	-	-	-	-	-	-	-	-
Granted during the Year	32,038,552	-	29,574,048	-	32,038,552	-	29,574,048	-
Outstanding at the end of the year	<u>32,038,552</u>	<u>-</u>	<u>29,574,048</u>	<u>-</u>	<u>32,038,552</u>	<u>-</u>	<u>29,574,048</u>	<u>-</u>

Following table lists the inputs to the binomial model used for valuation of the liability as at March 2018.

	2017/18
Expected Volatility	73.22%
Risk free interest rate	10.68%
Expected Life of ESAR	4

Expected volatility reflects the assumption that the historical volatility is indicative of future trends, which may not necessarily be the actual outcome at a future date.



29. ASSETS AND LIABILITIES

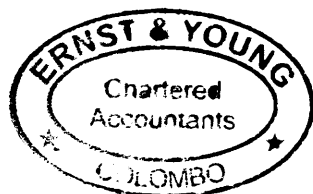
29.1 Accounting Classification and Fair Values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

GROUP

31 March 2018	Notes	Carrying Amount LKR					Fair Value LKR				
		Held-for-trading	Available For Sale	Loans & Receivables	Held To Maturity	Other Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
<i>Financial Assets and Non Financial Assets measured at fair value</i>											
Investment in Quoted Securities	18.3	1,276,267,279	-	-	-	-	1,276,267,279	1,276,267,279	-	-	1,276,267,279
Investment in Government Securities	18.3	757,790,604	-	-	-	-	757,790,604	757,790,604	-	-	757,790,604
Investment Property	16	-	-	-	-	-	-	-	-	1,688,188,153	1,688,188,153
Property Plant and Equipment	12	-	-	-	-	-	-	-	-	2,826,944,944	2,826,944,944
		<u>2,034,057,883</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>2,034,057,883</u>	<u>2,034,057,883</u>	<u>-</u>	<u>4,515,133,097</u>	<u>6,549,190,981</u>
<i>Financial Assets not measured at fair value</i>											
Investment in Government Securities	18.1	-	-	-	22,451,836	-	22,451,836	-	-	-	-
Bank Deposits	18.2	-	-	374,997,868	-	-	374,997,868	-	-	-	-
Trade Receivables	20	-	-	3,724,938,172	-	-	3,724,938,172	-	-	-	-
Cash & Cash Equivalents	21.	-	-	1,999,187,137	-	-	1,999,187,137	-	-	-	-
		<u>-</u>	<u>-</u>	<u>6,099,123,177</u>	<u>22,451,836</u>	<u>-</u>	<u>6,121,575,013</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
<i>Financial Liabilities not measured at fair value</i>											
Employee Share Appreciation Rights (ESAR)	28.2	-	-	-	-	32,038,552	32,038,552	-	-	-	-
Loans from Non-Financial Institutions	23.1	-	-	-	-	321,146,060	321,146,060	-	-	-	-
Finance Leases	23.2	-	-	-	-	20,891,528	20,891,528	-	-	-	-
Bank Loans	23.3	-	-	-	-	3,427,022,616	3,427,022,616	-	-	-	-
Loans granted by Related Parties	23.4	-	-	-	-	4,638,140	4,638,140	-	-	-	-
Short Term Loan	23.5	-	-	-	-	2,254,332,825	2,254,332,825	-	-	-	-
Trade and Other Payables	27	-	-	-	-	2,995,121,868	2,995,121,868	-	-	-	-
Bank Overdraft	21	-	-	-	-	2,760,999,591	2,760,999,591	-	-	-	-
		<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>11,816,191,179</u>	<u>11,816,191,179</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments.
For other receivables the carrying value has been considered as the fair value due to uncertainty of the timing of the cash flows.



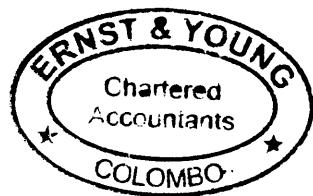
NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

29. ASSETS AND LIABILITIES

31 March 2017	Notes	Held-for-trading	Available For Sale	Loans & Receivables	Held To Maturity	Other Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
Financial Assets and Non Financial Assets measured at fair value											
Investment in Quoted Securities	18.3	1,592,646,485	-	-	-	-	1,592,646,485	1,592,646,485	-	-	1,592,646,485
Investment in Government Securities	18.3	141,842,840	-	-	-	-	141,842,840	141,842,840	-	-	141,842,840
Investment Property	16	-	-	-	-	-	-	-	-	1,164,600,686	1,164,600,686
Investment Property classified as Held for Sale	16	-	-	-	-	-	-	-	-	945,070,313	945,070,313
Property Plant and Equipment	12	-	-	-	-	-	-	-	-	2,226,768,287	2,226,768,287
		<u>1,734,489,325</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>1,734,489,325</u>	<u>1,734,489,325</u>	<u>-</u>	<u>4,336,439,285</u>	<u>6,070,928,611</u>
Financial Assets not measured at fair value											
Investment in Government Securities	18.1	-	-	-	36,166,883	-	36,166,883	-	-	-	-
Bank Deposits	18.2	-	-	12,480,663	-	-	12,480,663	-	-	-	-
Trade Receivables	20	-	-	1,612,771,406	-	-	1,612,771,406	-	-	-	-
Cash & Cash Equivalents	21.	-	-	815,416,259	-	-	815,416,259	-	-	-	-
		<u>-</u>	<u>-</u>	<u>2,440,668,328</u>	<u>36,166,883</u>	<u>-</u>	<u>2,476,835,211</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
Financial Liabilities not measured at fair value											
Loans from Non-Financial Institutions	23.1	-	-	-	-	305,554,303	305,554,303	-	-	-	-
Finance Leases	23.2	-	-	-	-	22,083,207	22,083,207	-	-	-	-
Bank Loans	23.3	-	-	-	-	1,320,588,968	1,320,588,968	-	-	-	-
Loans granted by Related Parties	23.4	-	-	-	-	4,421,637	4,421,637	-	-	-	-
Short Term Loan	23.5	-	-	-	-	1,092,848,231	1,092,848,231	-	-	-	-
Trade and Other Payables	27	-	-	-	-	1,228,195,491	1,228,195,491	-	-	-	-
Amounts Due to Related Companies	27	-	-	-	-	377,569	377,569	-	-	-	-
Bank Overdraft	21	-	-	-	-	3,400,050,468	3,400,050,468	-	-	-	-
		<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>7,374,119,875</u>	<u>7,374,119,875</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments.
Carrying values of financial liabilities have been considered as the fair value, due to uncertainty of the timing of the cash flow.



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

29. FINANCIAL ASSETS AND LIABILITIES (Contd)

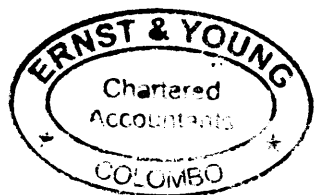
29.2 Accounting Classification and Fair Values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

COMPANY

31 March 2018	Notes	Carrying Amount LKR					Fair Value LKR				
		Held-for- trading	Available For Sale	Loans & Receivables	Held To Maturity	Other Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
<i>Financial Assets measured at fair value</i>											
Investment in Quoted Securities	18.3	-	-	-	-	-	-	-	-	-	-
Investment in Government Securities	18.3	757,790.604	-	-	-	-	757,790.604	757,790.604	-	-	757,790.604
Investment Property	16	-	-	-	-	-	-	-	-	29,000.000	29,000.000
		757,790.604	-	-	-	-	757,790.604	757,790.604	-	29,000.000	786,790.604
<i>Financial Assets not measured at fair value</i>											
Trade Receivables	20	-	-	102,586.785	-	-	102,586.785	-	-	-	-
Cash & Cash Equivalents	21	-	-	372,368	-	-	372,368	-	-	-	-
		-	-	102,959.153	-	-	102,959.153	-	-	-	-
<i>Financial Liabilities not measured at fair value</i>											
Employee Share Appreciation Rights (ESAR)	28.2	-	-	-	-	32,038,552	32,038,552	-	-	-	-
Loans from Non-Financial Institutions	23.1	-	-	-	-	4,226,399	4,226,399	-	-	-	-
Bank Loans	23.3	-	-	-	-	986,552,219	986,552,219	-	-	-	-
Loans granted by Related Parties	23.4	-	-	-	-	644,886,349	644,886,349	-	-	-	-
Bank Overdraft	21	-	-	-	-	2,010,095,205	2,010,095,205	-	-	-	-
		-	-	-	-	3,677,798,724	3,677,798,724	-	-	-	-

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments.
For other receivables the carrying value has been considered as the fair value due to uncertainty of the timing of the cash flows.



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2018

29. FINANCIAL ASSETS AND LIABILITIES (Contd)

31 March 2017	Notes	Held-for-trading	Available For Sale	Loans & Receivables	Held To Maturity	Other Financial Liabilities	Total	Level 1	Level 2	Level 3	Total
<i>Financial Assets measured at fair value</i>											
Investment in Quoted Securities	18.3	2,131,350	-	-	-	-	2,131,350	2,131,350	-	-	2,131,350
Investment in Government Securities	18.3	141,842,840	-	-	-	-	141,842,840	141,842,840	-	-	141,842,840
Investment Property	16	-	-	-	-	-	-	-	-	25,000,000	25,000,000
		143,974,190	-	-	-	-	143,974,190	143,974,190	-	25,000,000	168,974,190
<i>Financial Assets not measured at fair value</i>											
Trade Receivables	20	-	-	40,422,608	-	-	40,422,608	-	-	-	-
Cash & Cash Equivalents	21	-	-	106,750	-	-	106,750	-	-	-	-
		-	-	40,529,358	-	-	40,529,358	-	-	-	-
<i>Financial Liabilities not measured at fair value</i>											
Loans from Non-Financial Institutions	23.1	-	-	-	-	4,835,547	4,835,547	-	-	-	-
Bank Loans	23.3	-	-	-	-	431,045,313	431,045,313	-	-	-	-
Loans granted by Related Parties	23.4	-	-	-	-	1,028,578,453	1,028,578,453	-	-	-	-
Bank Overdraft	21	-	-	-	-	1,866,685,610	1,866,685,610	-	-	-	-
		-	-	-	-	3,331,144,923	3,331,144,923	-	-	-	-

The carrying amount of cash and bank balances are approximate fair values due to the relatively short maturity of the financial instruments.
Carrying values of financial liabilities have been considered as the fair value, due to uncertainty of the timing of the cash flow.



30. COMMITMENTS AND CONTINGENT LIABILITIES**30.1 Commitments and Contingent Liabilities - Company**

The company does not have significant capital commitment and contingent liabilities as at the reporting date.

30.2 Commitments and Contingent Liabilities - Group**30.2.1 Ambeon Holdings PLC****Bank Guarantees**

	2018 LKR mn	2017 LKR mn
Guarantees given to Tax Appeal Commission on behalf of the company	8.25	8.25
Guarantees given to following facilities on behalf of South Asia Textiles Ltd: Habib Bank Ltd (USD 750,000)	-	110
Guarantees given to following facility on behalf of Royal Fernwood Porcelain Ltd: People's Bank PLC	65	65
Guarantees given to following facility on behalf of Millennium Information Technologies (Pvt Limited): Seylan Bank PLC	2,000	-

30.2.2 Ceylon Leather Products (Pvt) Ltd**Letters of Credit and Bank Guarantees**

	2018 LKR mn	2017 LKR mn
Letters of Credit Opened with Banks favoring suppliers	24.30	6.50
Guarantees Issued by Banks on behalf of the Company	33.40	49.90
Guarantees given to following facilities on behalf of South Asia Textile Ltd: People's Bank of Sri Lanka (USD 4,500,000)	-	677.00
DFCC Bank PLC (USD 2,500,000)	-	384.75
Guarantees given to Palla & Company (Pvt) Ltd:	-	138.51

30.2.3 Royal Fernwood Porcelain Limited**Letter of Credit**

	2018 LKR mn	2017 LKR mn
Letter of credit opened with Banks favoring suppliers	50	50

30.2.4 South Asia Textiles Ltd**Operating Lease Commitments**

The Company has an operating lease for land. This lease has a term of renewal but no purchase option and escalation clause. Renewals are at the option of the specific entity that holds the lease. Future lease payments under operating lease contract are as follows:

	2018 LKR mn	2017 LKR mn
Within one year	3	3
After one year but not more than five years	15	15
More than five years	12	15
Present value of minimum lease payments	30	33

30.2.5 Lexinton Holdings (Pvt) Limited**Bank Guarantee**

	2018 LKR mn	2017 LKR mn
Guarantees given to Tax Appeal Commission on behalf of the company	18.90	-

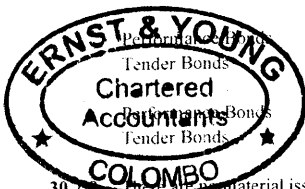
30.2.6 Taprobane Securities (Pvt) Limited**Bank Guarantee**

	2018 LKR mn	2017 LKR mn
Guarantees given to Colombo Stock Exchange on behalf of the company	1.75	1.75

30.2.7 Millennium Information technologies (Pvt) Limited

	2018 LKR mn	2017 LKR mn
Tender Bonds	138	-
Chartered Accounts	10	-
Port Finance Bonds	1.40	-
Tender Bonds	0.05	-

30.2.8 There are no material issues pertaining to employees and industrial relations of the Group during the financial year.



31. RELATED PARTY TRANSACTIONS

31.1 Identity of related parties

The Company has related party relationship with its subsidiaries, associates, affiliate companies and with key management personnel. (KMP).

31.2 Transaction with / between subsidiaries and the parent company

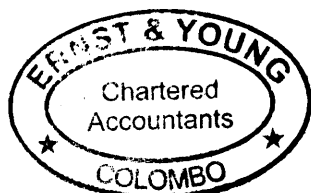
Company	Relationship	Nature of transaction	Amount	Balance (due)/from as at 31/3/2018	Balance (due)/from as at 31/3/2017	Aggregate Value of RPT exceeds 10% of the Gross Revenue *	Terms & Conditions of the RPT exceeds 10% of Gross Revenue
Taprobane Investments (Pvt) Ltd	Sub subsidiary	Brokerage on money broking	(3,128,617)	-	-	-	-
		Brokerage paid	3,190,224	-	-	-	-
		Common expenses -reimbursement	615,452	-	-	-	-
		Common expenses - allocation	(6,248,493)	-	-	-	-
		Settlement - Fund Transfers	831,729	-	-	-	-
		Shared service & consultancy fees	4,801,312	(61,607)	(123,214,29)	-	-
		Loan taken	(70,160,000)	-	-	-	-
		Loan settlement	65,850,000	-	-	-	-
		Interest charged	(6,660,306)	(65,578,432)	(54,608,126)	-	-
Lexinton Holdings (Pvt) Ltd.	Subsidiary	Common expenses -reimbursement	7,348	-	-	-	-
		Common expenses - allocation	(27,241)	-	-	-	-
		Shared service & consultancy fees	2,460,672	-	-	-	-
		Settlement - Fund Transfers	(2,440,779)	-	-	-	-
		Loan taken	(33,900,000)	-	-	-	-
		Loan settlement	63,353,224	-	-	-	-
		Interest charged	(17,714,846)	(122,523,663)	(134,262,041)	-	-
Taprobane Securities(Pvt) Ltd	Sub subsidiary	Common expenses -reimbursement	244,795	-	-	-	-
		Common expenses - allocation	(728,147)	-	-	-	-
		Shared service & consultancy fees	2,520,689	-	-	-	-
		Settlement - Fund Transfers	(2,037,337)	-	-	-	-
		Loan obtained	(160,000,000)	-	-	-	-
		Loan repayment	74,500,000	-	-	-	-
		Interest expenses on loans and borrowings	(21,394,184)	(178,918,109)	(72,023,925)	-	-
Taprobane Wealth Plus (Pvt) Ltd	Sub subsidiary	Settlement -fund transfers	(101,903)	-	-	-	-
		Shared service & consultancy fees	101,903	-	-	-	-
		Loan repayment	1,620,000	-	-	-	-
		Interest expenses on loans and borrowings	(481,721)	(3,557,944)	(4,696,222)	-	-
Heron Agro Products (Pvt) Ltd	Fully owned subsidiary	Loan granted	2,370,400	-	-	-	-
		Interest income on loans and borrowings	4,783,613	-	-	-	-
		Shared service & consultancy fees	101,903	45,761,088	38,505,172	-	-
Lexinton Financial Services (Pvt) Ltd	Sub subsidiary	Settlement -fund transfers	(739,405)	-	-	-	-
		Shared service & consultancy fees	739,405	-	-	-	-
Ambeon Holdings PLC	subsidiary	Loan repayment	731,345,000	-	-	-	-
		Interest expenses on loans and borrowings	(80,691,569)	14,973,706	(635,679,725)	-	-
Ceylon Leather Products PLC	Sub subsidiary	Interest expenses on loans and borrowings	(14,909,204)	(122,074,918)	(107,165,714)	-	-
Colombo City Holdings PLC	Sub subsidiary	Loan obtained	(150,000,000)	-	-	-	-
		Loan repayment	20,155,209	-	-	-	-
		Interest expenses on loans and borrowings	(2,277,674)	(152,233,283)	(20,110,818)	-	-
ARRC Capital (Pvt) Ltd	Affiliated Company	Common expenses -reimbursement	7,348	-	-	-	-
		Settlement -fund transfers	(307,348)	-	-	-	-
		Shared service & consultancy fees	300,000	-	-	-	-
Transaction taken place in the period between the Company and a Connected Person other than the payment of remuneration for services provided as an employee of the Company.							
N.M.Prakash	Group Managing Director CEO	Share based payment - Phantom stocks	90,612,600	-	-	-	-
		Paid	(29,000,000)	61,612,600	-	-	-

* Recurrent related party transactions

There were no recurrent related party transactions which in aggregate value exceeds 10% of the consolidated revenue of the Group as per 31 March 2018 audited financial Statements, which required additional disclosures in the 2017/18 Annual Report under Colombo Stock Exchange listing Rule 9.3.2 and Code of Best Practices on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13(c) of the Securities and Exchange Commission Act.

31.3 Transaction with other entities

Company	Nature of transaction	Amount	Balance (due)/from as at 31/3/2018	Balance (due)/from as at 31/3/2017	Aggregate Value of RPT exceeds 10% of the Net Assets	Terms & Conditions of the RPT exceeds 10% of Net Assets
CHC Investment (Pvt) Ltd	Loans Granted	40,000,000	-	-	-	-
	Interest Receivable on Loan	106,849	40,106,849	-	-	-
Suisse Hotel Kandy (Pvt) Ltd	Sales of Goods	-	-	-	-	-
	(Receipts) / Payments	(531)	-	531	-	-
Ceylon Hotel Corporation PLC	Sales of Goods	-	-	-	-	-
	(Receipts) / Payments	21,357	-	(21,357)	-	-
Hirdaramani International Exports (Pvt) Ltd	Sales of Goods	-	-	-	-	-
	(Receipts) / Payments	(68,634,261)	-	68,634,261	-	-



31. RELATED PARTY TRANSACTIONS (Contd....)

31.4 Transactions with Key Management Personnel

Key management personnel include members of the Board of directors of Ambeon Capital PLC and its subsidiary companies. The transactions with key management personnel are done on arms length basis.

<i>As at 31 March</i>		Group		Company	
	2018	2017	2018	2017	
31.4.1 Key Management Personnel Compensation	LKR	LKR	LKR	LKR	
Short-term employee benefits	170,714,269	150,856,108	13,949,800	15,240,707	
Share-based Payment *	29,000,000	-	29,000,000	-	
Loan Obtained	-	4,071,918	-	4,071,918	
Settlement of Loan	-	6,924,853	-	5,424,853	
Net Interest	1,629,783	2,049,454	-	329,917	

* Group MD redeemed 5,000,000 number of Phantom shares at a price of Rs.5.80, granted and vested on in respect of the year ending 31st March 2017.

31.5 Terms and conditions of transactions with related parties

Transactions with related parties are carried out in the ordinary course of the business. Outstanding current account balances at year end are unsecured and settlement occurs in cash. Interest bearing borrowings are at pre-determined interest rates and terms.

31.6 Non Recurrent Related Party Transactions

There were no non-recurrent related party transactions that exceeded the thresholds that required the immediate market disclosure or shareholder approval as required under Section 9 of the Continuing Listing Requirement of the Colombo Stock Exchange .

32. EVENTS OCCURRING AFTER REPORTING PERIOD

No circumstances have arisen since the reporting date, which would require adjustment to or disclosure in the financial statements, except for the followings.

Ambeon Holdings PLC

(i) Reduction of Stated Capital and amendments to the Articles of Association.

On 17 May 2018, the Company reduced its Stated Capital to LKR 5,331,775,177/- in accordance with Section 59 of the Companies Act No. 7 of 2007 without any change to the number of shares issued and made amendments to the Articles of Association of the Company.

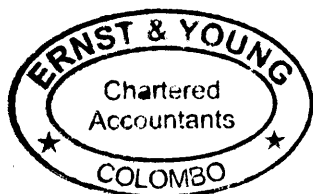
(ii) Proposed Dividend

The Board of Directors of the company has proposed interim Dividend of LKR 1.25 per share for the financial year 2018/19. Date of Announcement is 12th July 2018 and Date of Payment will be on 02nd August 2018.

Millennium Information Technologies (Pvt) Limited (MIT) - Management buyout

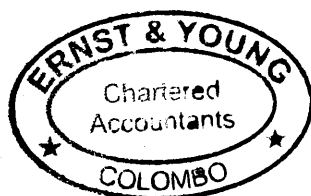
As a part of MIT management buyout the company disposed 20% holding to MIT management for the consideration of LKR 132 Mn.

On 13 June 2018 MIT reduced its stated capital to LKR 415,849,344/ in accordance with the provisions of Section 59 of the Companies Act No. 07 of 2007. 296,307 shares held by Ambeon Holdings PLC be cancelled and that cash amounting to LKR. 125 million were returned to Ambeon Holdings PLC consequent to the Reduction of Stated Capital.



33. ASSETS PLEDGED

	Nature of Assets	Nature of Liability	Carrying Amount Pledged		Included under
			2018 LKR mn	2017 LKR mn	
33.1	Assets Pledged by Ambeon Capital PLC				
	Investment in Shares - 290.6 Mn Ambeon Holdings PLC Shares	Pledge for Facility Granted by Seylan Bank PLC & Pan Asia Bank	4.075	3.051	Investments in Subsidiaries
33.2	Assets Pledged by Lexinton Holdings (Pvt) Ltd				
	Land & Buildings	Primary Mortgage for Loans and Borrowings NDB Bank	261	251	Property, Plant & Equipment
33.3	Assets Pledged by Ambeon Holdings PLC				
	Quoted Equity Investments	Overdraft Facility Revolving Loan for Loans and Borrowings	2.228	3.530	Investments in Subsidiaries and Other Current Financial Assets
33.4	Assets Pledged by Ceylon Leather Products (Pvt) Ltd				
	Immovable Properties	Floating Mortgage for Loans and Borrowings	1.323	968	Property, Plant & Equipment
	Plant & Machinery Other than leased	Floating Mortgage for Loans and Borrowings	36	55	Property, Plant & Equipment
	Raw Materials, Finished Goods and Work in Progress	Floating Mortgage for Loans and Borrowings	531	326	Inventory
	Trade Debtors	Floating Mortgage for Loans and Borrowings	225	179	Debtors
			2.115	1,528	
33.5	Assets Pledged by South Asia Textiles Ltd				
	Buildings	Primary Mortgage for Loans and Borrowings	-	577	Property, Plant & Equipment
	Machineries	Primary Mortgage for Loans and Borrowings	1.199	1,326	Property, Plant & Equipment
	Raw Materials, Finished Goods and Work in Progress	Primary/Concurrent Mortgage for Loans and Borrowings	1.877	1,272	Inventories
	Trade Debtors	Primary/Concurrent Mortgage for Loans and Borrowings	890	757	Trade and Other Receivables
	Margin Accounts	Primary Mortgage for Loans and Borrowings	13	12	Other Financial Assets
			3.979	3,945	
33.6	Assets Pledged by Dankotuwa Porcelain PLC				
	Inventory and Trade Debtors	For Loans and Borrowings	93	6	Inventory and Trade Debtors
	Machinery	Primary Mortgage for Loans and Borrowings	137	5	Property, plant and equipment
			230	11	
33.7	Royal Fernwood Porcelain Limited				
	Land and Buildings & immovable machinery	Term loans and short term borrowings	580	507	Property, plant and equipment
			580	507	



34. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

Risk management framework

The Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework.

The Group's risk management policies are established to identify and analyses the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. All the Group level risks are escalated to the parent company and the Board. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities.

The Group Audit Committee oversees the reports submitted by the Enterprise Risk Management and monitors compliance with the Group's risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to the risks faced. The Group Audit Committee is assisted in its oversight role by Internal Audit. Internal Audit undertakes both regular and adhoc reviews of risk management controls and procedures, the results of which are reported to the Audit Committee.

A financial instrument is any contract that gives rise to both a financial asset of one enterprise and a financial liability or equity instrument of another enterprise.

The Group has exposure to the following risks from its use of financial instruments:

- (i) Credit risk
- (ii) Liquidity risk
- (iii) Market risk

(i) Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. The Group's exposure to credit risk is as indicated by the carrying amount of its financial assets which consist principally of bank balance, due from related parties, trade and certain other receivables.

Exposure to credit risk

The Group limits its exposure to credit risk by investing only in liquid debt securities.

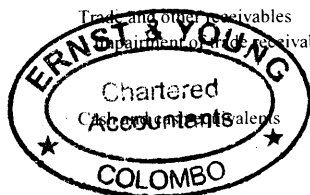
The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

As at 31st March	Consolidated		Company	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR
Fair Value Through Profit & Loss	2,034,057,883	1,734,489,326	757,790,604	143,974,190
Held to Maturity Financial Assets	22,451,836	36,166,883	-	-
Loans & Receivables	374,997,868	12,480,663	-	-
Trade & Other Receivables	4,009,655,688	1,801,538,636	104,765,555	45,845,248
Cash & Cash Equivalents	1,999,187,137	815,416,259	372,368	106,750
	<u>8,440,350,413</u>	<u>4,400,091,768</u>	<u>862,928,527</u>	<u>189,926,187</u>

The financial assets that are past due and but not impaired and neither past due or impaired as follows:

As at 31st March 2018	Consolidated			Company		
	Neither past due or impaired	Past due and but not impaired	Total	Neither past due or impaired	but not impaired	Total
Fair Value Through Profit & Loss	-	1,811,588,583	1,811,588,583	-	757,790,604	757,790,604
- Change in fair value of investments	-	222,469,300	222,469,300	-	-	-
		<u>2,034,057,883</u>	<u>2,034,057,883</u>		<u>757,790,604</u>	<u>757,790,604</u>
Investments in other financial assets	-	397,449,704	397,449,704	-	-	-
Trade and other receivables	-	5,078,469,351	5,078,469,351	-	124,054,649	124,054,649
- Impairment of trade receivables	-	(1,068,813,663)	(1,068,813,663)	-	(19,289,094)	(19,289,094)
		<u>4,009,655,688</u>	<u>4,009,655,688</u>		<u>104,765,555</u>	<u>104,765,555</u>
Cash and cash equivalents	1,999,187,137	-	1,999,187,137	372,368	-	372,368
	<u>1,999,187,137</u>	<u>6,441,163,276</u>	<u>8,440,350,413</u>	<u>372,368</u>	<u>862,556,159</u>	<u>862,928,527</u>

As at 31st March 2017	Consolidated			Company		
	Neither past due or impaired	Past due and but not impaired	Total	Neither past due or impaired	but not impaired	Total
Fair Value Through Profit & Loss	-	1,817,179,883	1,817,179,883	-	143,547,920	143,547,920
- Change in fair value of investments	-	(82,690,557)	(82,690,557)	-	426,270	426,270
		<u>1,734,489,326</u>	<u>1,734,489,326</u>		<u>143,974,190</u>	<u>143,974,190</u>
Investments in other financial assets	-	48,647,546	48,647,546	-	-	-
Trade and other receivables	-	2,026,181,628	2,026,181,628	-	63,050,956	63,050,956
- Impairment of trade receivables	-	(224,642,992)	(224,642,992)	-	(17,205,708)	(17,205,708)
		<u>1,801,538,636</u>	<u>1,801,538,636</u>		<u>45,845,248</u>	<u>45,845,248</u>
Cash and cash equivalents	815,416,259	-	815,416,259	106,750	-	106,750
	<u>815,416,259</u>	<u>3,584,675,508</u>	<u>4,400,091,767</u>	<u>106,750</u>	<u>189,819,438</u>	<u>189,926,188</u>



34. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT (Contd..)**(ii) Liquidity risk**

Liquidity risk is the risk that cash may not be available to pay obligations when due. The Group manages its liquidity needs by carefully monitoring scheduled payments for financial liabilities as well as cash-outflows due in day-to-day business.

The following are the contractual maturities of non-derivative financial liabilities:

As at 31 March 2018	Consolidated							Company				
	Carrying Amounts	Contractual cash out flows	On demand	Less than 3 months	3 to 12 months	1 to 5 years	> 5 years	Carrying Amounts	Contractual cash out flows	On demand	Less than 3 months	1 to 5 years
Non-derivative financial liabilities												
Employee Share Appreciation Rights (ESAR)	32,038,552	32,038,552	-	-	-	32,038,552	-	32,038,552	32,038,552	-	-	32,038,552
Loans and borrowings	6,028,031,169	6,341,790,485	237,287,000	2,147,573,363	2,241,448,275	1,702,593,172	12,888,675	1,635,664,967	1,635,664,967	1,635,664,967	-	-
Trade & Other payables	3,292,344,120	3,292,344,120	3,292,344,120	-	-	-	-	31,460,607	31,460,607	31,460,607	-	-
Bank Overdraft	2,760,999,591	2,760,999,591	-	2,760,999,591	-	-	-	2,010,095,205	2,010,095,205	-	2,010,095,205	-
	<u>12,113,413,432</u>	<u>12,427,172,747</u>	<u>3,529,631,120</u>	<u>4,908,572,954</u>	<u>2,241,448,275</u>	<u>1,734,631,724</u>	<u>12,888,675</u>	<u>3,709,259,331</u>	<u>3,709,259,331</u>	<u>1,667,125,573</u>	<u>2,010,095,205</u>	<u>32,038,552</u>

As at 31 March 2017	Consolidated							Company				
	Carrying Amounts	Contractual cash out flows	On demand	Less than 3 months	3 to 12 months	1 to 5 years	> 5 years	Carrying Amounts	Contractual cash out flows	On demand	Less than 3 months	1 to 5 years
Non-derivative financial liabilities												
Loans and borrowings	2,745,496,343	2,817,842,433	1,048,728,399	-	815,081,736	899,224,412	54,807,886	1,464,459,313	1,464,459,313	1,464,459,313	-	-
Trade & Other payables	1,648,731,159	1,648,731,159	1,648,731,159	-	-	-	-	4,801,758	4,801,758	4,801,758	-	-
Bank Overdraft	3,400,050,467	3,400,050,467	-	3,400,050,467	-	-	-	1,866,685,610	1,866,685,610	-	1,866,685,610	-
	<u>7,794,277,969</u>	<u>7,866,624,059</u>	<u>2,697,459,559</u>	<u>3,400,050,467</u>	<u>815,081,736</u>	<u>899,224,412</u>	<u>54,807,886</u>	<u>3,335,946,681</u>	<u>3,335,946,681</u>	<u>1,469,261,071</u>	<u>1,866,685,610</u>	<u>-</u>

(iii) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates and interest rates will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

Currency risk

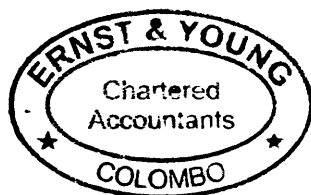
Currency risk is the risk that the value of financial instruments will fluctuate due to changes on foreign exchange rates. All purchases and related payments due to suppliers are termed In Sri Lankan ("RS"), US Dollar (USD) and Euro ("EUR"). RS is pegged against USD and hence, the Group's exposure to currency risk in terms of USD is minimal.

Interest rate risk

Interest rate risk is the risk to earnings or capital arising from movement of interest rates. The Group has negotiated overdrafts at a fixed interest rate basis, hence not subject to the interest rate risk.

Capital management

The capital management strategy adopted by the Group is aimed at maintaining sufficient and adequate levels of working capital for day to day operations and long term capital for investment and growth. A suitability structured capital base is essential in order to maintain investor confidence in the Group, and ensures that it achieves sustained long term growth while maintaining the capability to withstand fluctuating economic fortunes. The capital of the Group consists of equity and debt. The components of the equity capital are the stated capital, retained earnings and reserves while the debt capital consist of short term debt sources.



35. MATERIAL PARTLY-OWNED SUBSIDIARIES

Financial information of subsidiaries that have material non-controlling interests is provided below:

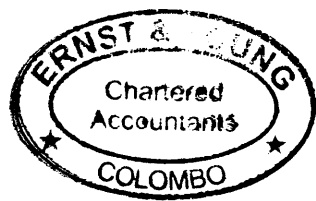
35.1 Proportion of equity interest held by non-controlling interests:

Name	Proportion of NCI		Accumulated Balances of NCI		Profit allocated to NCI	
	2018	2017	2018 LKR	2017 LKR	2018 LKR	2017 LKR
<i>Non-Controlling Interests material individually</i>						
South Asia Textiles Limited	20.47%	21.17%	420,230,834	396,824,290	13,676,775	6,840,651
Ceylon Leather Products PLC	18.65%	19.95%	266,331,469	520,147,341	29,431,133	7,685,637
Dankotuwa Porcelain PLC	36.88%	35.05%	682,083,235	648,369,787	(14,836,584)	18,236,791
Colombo City Holdings PLC	45.93%	44.36%	863,834,782	726,350,124	71,785,028	60,081,918
Millennium Information Technologies (Pvt) Ltd	18.57%	-	136,556,049	-	62,446,838	-
<i>Non-controlling interest material in aggregate</i>			59,202,148	(222,195,345)	(10,961,965)	78,806,135
Total			2,428,238,516	2,069,496,197	151,541,224	171,651,133
Dividend Paid to NCI Shareholders					2018	2017
South Asia Textiles Limited					5,833,333	19,914,220
Dankotuwa Porcelain PLC					-	9,141,135
Colombo City Holdings PLC					6,415,199	4,276,800
					12,248,532	33,332,155

The summarised financial information of these subsidiaries is provided below. This information is based on amounts before inter-company eliminations.

35.2 Summarised statement of Profit or Loss for the period ending 31 March

	South Asia Textiles Limited		Ceylon Leather Products PLC		Dankotuwa Porcelain PLC		Colombo City Holdings PLC		Millennium Information Technologies (Pvt) Ltd	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR
Revenue	7,744,989,024	6,894,378,960	640,108,270	1,402,197,708	1,276,617,363	1,652,871,366	114,879,413	27,678,986	1,562,444,695	-
Operating Income/(Costs)	(7,314,434,205)	(6,672,183,559)	(85,215,159)	(1,190,887,222)	(1,456,641,351)	(1,557,583,907)	131,093,192	(57,212,710)	(1,246,856,774)	-
Finance Costs	(68,588,493)	(72,963,988)	(48,359,914)	(37,133,049)	(21,776,925)	(18,574,725)	(183,158)	(65,753)	(37,371,125)	-
Finance Income	8,900,140	8,228,021	51,841,571	26,508,131	48,546,894	49,464,135	41,242,795	7,362,750	5,042,029	-
Change in FV of IP	-	-	-	-	-	-	-	235,500,263	-	-
Tax Expense	(63,561,715)	(20,721,571)	109,918,734	9,497,626	72,254,183	(31,525,283)	(24,664,668)	119,793	53,019,246	-
Profit or Loss from Continuing Operations	307,304,752	136,737,865	668,293,502	210,183,194	(80,999,836)	94,651,586	262,367,575	213,383,329	336,278,070	-
Other Comprehensive Income	121,504,268	9,614	90,597,016	6,011,902	203,626,284	(22,699)	(47,605)	64,167	-	-
Total Comprehensive Income	428,809,020	136,747,479	758,890,518	216,195,095	122,626,448	94,628,887	262,319,970	213,447,496	336,278,070	-



35. MATERIAL PARTLY-OWNED SUBSIDIARIES (Contd..)

	South Asia Textiles Limited		Ceylon Leather Products PLC		Dankotuwa Porcelain PLC		Colombo City Holdings PLC		Millennium Information Technologies (Pvt) Ltd	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR
35.3 Summarised Statement of Financial Position for the period 31 March										
Current Assets	3,446,910,557	2,227,307,402	1,008,237,687	958,316,844	1,051,687,796	1,169,450,652	1,126,707,288	112,651,787	3,522,836,522	-
Non-current Assets	2,088,841,886	2,067,263,817	1,560,178,944	2,055,606,609	1,884,777,667	1,551,153,671	793,133,994	618,235,054	220,585,137	-
Asset Classified as Held for Sale	-	-	-	-	-	-	-	945,070,313	-	-
Total Assets	5,535,752,442	4,294,571,219	2,568,416,631	3,013,923,453	2,936,465,463	2,720,604,323	1,919,841,282	1,675,957,154	3,743,421,659	-
Current Liabilities	2,865,464,656	1,733,919,697	876,599,209	311,613,086	553,688,328	446,547,683	38,009,021	33,915,827	2,915,380,798	-
Non-current Liabilities	617,108,112	686,127,848	263,876,136	95,645,673	533,491,529	424,035,762	1,088,184	792,140	92,682,494	-
Liabilities Directly associated with the Asset Classified as Held for Sale	-	-	-	-	-	-	-	3,732,224	-	-
Total Liabilities	3,482,572,767	2,420,047,545	1,140,475,345	407,258,759	1,087,179,857	870,583,445	39,097,206	38,440,191	3,008,063,293	-
35.4 Summarised Cash Flow Information for the year ending 31 March										
Operating	920,332,893	309,914,755	(504,830,615)	525,105,287	(47,747,462)	90,727,901	24,031,528	(89,626,222)	(354,687,890)	-
Investing	(278,153,174)	290,287,517	26,114,009	37,826,985	(15,100,927)	11,918,590	(10,819,280)	49,416,971	(15,389,852)	-
Financing	(115,908,395)	(548,751,192)	185,567,718	(287,554,964)	65,585,211	(57,267,498)	(183,157)	(12,728,570)	309,021,093	-
Net increase/(decrease) in cash and cash equivalents	526,271,325	51,451,080	(293,148,888)	275,377,308	2,736,822	45,378,993	13,029,092	(52,937,821)	(61,056,650)	-
35.5 Increase in interests in Material Subsidiaries										

2018 Ceylon Leather Products PLC

On 29 January 2018, Ambeon Holdings PLC acquired 1,497,973 ordinary shares of Ceylon Leather Products PLC (CLPL) held by the minority shareholders of CLPL, pursuant to obtaining an order from Court under section 256 of the Companies Act No. 7 of 2007 (the Arrangement). Pursuant thereto, the formalities pertaining to the Arrangement was carried out and Ambeon Holdings PLC issued 7,502,547 new ordinary shares to such minority shareholders of CLPL. Accordingly, the holding percentage decreased from 83.20% to 81.43% of the issued ordinary shares of Ambeon Holdings PLC.

2018 South Asia Textiles Limited

On 28 February 2018, Ambeon Holdings PLC acquired 287,295,495 ordinary shares of South Asia Textiles Limited from Ceylon Leather Products PLC for a total consideration of LKR 1,684,280,000/-. Accordingly, the total effective holding percentage increased to 79.53% of the issued ordinary shares of SAT.

2018 Palla & Company (Pvt) Ltd

On 30 March 2018, Ambeon Holdings PLC acquired 2,936,243,951 ordinary shares of Palla & Company (Private) Limited for a total consideration of LKR 10,000/-. Palla & Company (Pvt) Ltd was a dormant Company with a negative net asset value.

2017 Palla & Company (Pvt) Ltd

Loss recorded within parent's equity includes LKR 207,851,712/- losses arising from the conversion of preference shares of Palla & Company (Pvt) Ltd from debt to equity.

2018 Taprobane Capital Plus (Pvt) Ltd

On 15 February 2018, Ambeon Holdings PLC invested in 67,134,500 ordinary shares of Taprobane Capital Plus (Private) Limited at LKR 10 per share.

2018 Lexinton Resort (Pvt) Ltd

On 15 February 2018, the company invested in 229,000,000 ordinary shares of Lexinton Resort (Pvt) Ltd for a consideration of Rs. 513,416,776.00.



36. BUSINESS COMBINATIONS AND ACQUISITION OF NON-CONTROLLING INTERESTS

Assets acquired and liabilities assumed

The fair values of the identifiable assets and liabilities of Millennium Information Technologies (Pvt) Limited which was acquired through Ambeon Holdings PLC as at the date of acquisition were:

	LKR
Assets	
Property, Plant & Equipment	64,212,371
Intangible Assets	296,296
Deferred Tax Asset	90,433,851
Inventories	450,651,762
Trade & Other Receivables	1,557,085,844
Cash & Cash Equivalents	1,042,719,907
	3,205,400,031
Liabilities	
Retirement Benefit Obligations	89,765,971
Deferred Income	506,418,642
Trade and Other Payables	1,277,440,574
Income Tax Payable	108,116,081
Interest Bearing Loans & Borrowings	824,578,467
	2,806,319,735
Total identifiable net assets at fair value	399,080,297
Non-controlling interest measured at fair value	-
Provisional Goodwill arising on acquisition (Note 14)	766,323,679
Purchase consideration transferred	1,165,403,975
Net Cash Acquired with the subsidiary	1,042,719,907
Net Cash outflow from the Acquisition	122,684,068

From the date of acquisition, Millennium Information Technologies (Pvt) Limited has contributed LKR 1,562,444,695/- of revenue and LKR 283,258,823/- to the profit before tax from continuing operations of the Group.

The Group elected to report provisional amounts for items to which accounting is incomplete. During the measurement period, the Group shall adjust the provisional amounts recognised at the acquisition to reflect new information obtained about facts and circumstances that existed as of the acquisition date and, if known, would have affected the measurement of the amounts recognised as of that date as stated by SLFRS 3 - Business Combinations.

